Test Preparation Guide for LOMA 301

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LOMA®

Test Preparation Guide for LOMA 301

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Test Preparation Guide for LOMA 301

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Preface

Before You Begin...

Important Information on How to Study and Prepare for a LOMA Examination

Welcome to the Test Preparation Guide (TPG) for LOMA 301. This learning package was designed by LOMA to complement *Insurance Adminstration, Fifth Edition* (2018). Used along with the textbook, this TPG will help you master the course material as you prepare for the LOMA 301 examination. This TPG includes practice questions and a full-scale sample examination.

The nature of LOMA's self-study program offers two important benefits.



First, you have the opportunity to learn important job-related information that will help you become a more knowledgeable and valuable employee.



Second, a self-study program allows you to learn at your own pace and study at times that suit your own schedule.

You may need some help in developing the skills necessary for self study, or you may have some qualms about taking examinations. Even if you're very confident of your study skills, you need to understand what you will be expected to know once you have completed the course and how you can make sure you have mastered the course content. That's why LOMA developed the TPG.

LOMA provides valuable tips on effective studying and test taking strategies. "Study Tips" and "Becoming Test-Wise" include many practical pointers that will help you organize your study and prepare for the examination for this course. Both of these tools can be found in the Exam Prep section of the Course Portal.

The remainder of the TPG is your guide to mastering the course material. By reading and working through this manual, you not only will discover how to focus your study, but you will also receive valuable practice in applying your knowledge and will be able to gauge your level of mastery of the material.

The TPG is your key to learning success.

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Practice Questions

Learning objectives for the Practice Questions

The learning objectives in the assigned text are each measured by one or more practice questions. Each practice question represents an example of how your knowledge of the learning objective may be measured on the examination for this course. Learning objectives appear in a shaded box above the question or questions associated with that learning objective. Additional information on how to use learning objectives to guide your study and preparation for the exam appears in "Study Tips," which can be accessed in the Course Portal under Exam Prep.

An interactive version of these Practice Questions can be accessed in the Course Portal under Exam Prep.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter One

Learning Objective: Describe the policy life cycle and identify the primary purposes of the underwriting, reinsurance, customer service, and claim administration functions.

1. Lisa Bailey applied to the Terminus Insurance Company for an insurance policy on the life of her husband, Mark. Lisa named her son, Derek, as the person who will receive the policy benefit. Terminus issued the policy. One correct statement about this situation is that

   (1) Terminus underwriters assessed the degree of mortality risk represented by Derek
   (2) Lisa is both the applicant and the insured for this life insurance policy
   (3) Mark is the beneficiary of this life insurance policy
   (4) Lisa applied for a third-party life insurance policy

2. Life insurance administration includes a wide variety of activities requiring specialized expertise and processes. Consider the following insurance administration activities:

   - **Activity A**—Assess and classify the degree of risk represented by a proposed insured or group with respect to a specific insurance product
   - **Activity B**—Make a decision concerning the acceptance of a risk for an insurance policy

   Select the answer choice that correctly identifies the insurance administration function that is responsible for Activity A and for Activity B.

	Activity A	Activity B
(1)	claims	compliance
(2)	claims	underwriting
(3)	underwriting	compliance
(4)	underwriting	underwriting

Learning Objective: Describe how the following operational areas—marketing, actuarial, accounting and treasury operations, legal and compliance, human resources, and information technology—support insurance administration.

3. Insurance administration staff typically coordinate many aspects of their work with other functions of an insurance company. One such function is the accounting function, which typically has primary responsibility for

   (1) determining the insurer's legal reserve liabilities
   (2) collecting, analyzing, and reporting the insurer's financial data
   (3) administering the insurer's employee benefit plans
   (4) calculating premium rates for insurance products

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Learning Objective: Explain the significance of the customer experience and how focusing on customer experience impacts insurance company operations and employees.

4. The following statement(s) can correctly be made about the customer experience:

   A. Employees who work in non-customer-facing areas do not have an impact on the customer experience.
   B. Customers have the best end-to-end experience when all operational areas of the company share the same goal of meeting or exceeding customer expectations.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: (1) Define *touchpoint* and identify four major touchpoints between customers and insurance companies; (2) Describe how insurers study customer journeys to understand their customers' experiences.

5. For this question, select the answer choice containing the terms that correctly complete the blanks labeled **A** and **B** in the following paragraph.

   The customer journey is the path each individual customer travels with a company. Under this model, all points of contact with a customer are known as **A**, which a company can use to create a customer journey map. Mapping customer journeys allows a company to identify real or imagined problems for the customer that the company plans to solve. These problems are known as **B**.

	A	**B**
(1)	customer wants	pain points
(2)	customer wants	industry disruptions
(3)	touchpoints	pain points
(4)	touchpoints	industry disruptions

Learning Objective: Identify and describe some of the challenges to implementing customer experience management measures.

6. The following statement(s) can correctly be made about challenges that companies face when implementing customer experience management measures:

   A. Changing to a customer-centric culture is a slow process that can take a company months or even years to achieve.
   B. Most newer information systems focus on maintaining customer information in "silos," a practice that reduces information sharing between operational areas.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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Learning Objective: Explain how an insurer fulfills its ethical duties pertaining to insurance administration.

7. The following statements are about an insurer's ethical duties to customers. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) Equity in risk acceptance means that an insurer should charge all applicants for comparable policies the same premium rate.
   (2) Equitable claim handling includes assessing every claim according to the policy's terms and paying only valid claims.
   (3) To maintain confidentiality of customer information, insurers must restrict access to personal information to only those people who have a lawful and business-specific need for it.
   (4) In underwriting, discrimination among risks is usually lawful when it is based on (1) recognized actuarial principles and (2) actual or reasonably anticipated experience.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Two

Learning Objective: Identify regulations that affect administration activities in three different areas of regulatory compliance: privacy, fraud, and unfair trade practices.

1. In the United States, the National Association of Insurance Commissioners (NAIC) promotes uniformity of state regulation by developing model laws and regulations that individual states are (**required / encouraged**) to enact or adopt. In this context, the role of a state's Department of Insurance is to (**enact laws / create regulations**).

   (1) required / enact laws
   (2) required / create regulations
   (3) encouraged / enact laws
   (4) encouraged / create regulations

2. In the United States, the federal Fair Credit Reporting Act (FCRA) regulates the reporting and use of consumer information and seeks to ensure that consumer reports contain only accurate, relevant, and recent information. One correct statement about the FCRA is that

   (1) its definition of consumer report does not include reports that bear on nonfinancial issues, such as a person's character or personal characteristics
   (2) an insurer's decision to issue coverage that is substantially less than the amount applied for is not considered to be an adverse action
   (3) it imposes no disclosure requirements on insurers that deny applications based on information provided in a consumer report
   (4) it requires insurers and financial professionals to give a disclosure notice to the applicant and the proposed insured informing them that the insurer may order a consumer report

3. The NAIC created the Privacy of Consumer Financial and Health Information Regulation (Model Privacy Regulation) in response to the Gramm-Leach-Bliley (GLB) Act. The following statements are about either the Model Privacy Regulation or the GLB Act. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) A state's privacy laws always supersede the privacy provisions of the GLB Act, regardless of the level of consumer privacy protection provided by the state law.
   (2) The GLB Act requires insurers to disclose policies for obtaining and sharing customers' nonpublic personal information at the beginning of the relationship and at least once a year afterwards.
   (3) The Model Privacy Regulation specifically limits disclosure of nonpublic personal financial information and nonpublic personal health information.
   (4) The GLB Act does not restrict insurers from sharing information with affiliated parties that are related to the insurer by common ownership or control.

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Learning Objectives: Identify regulations that affect administration activities in three different areas of regulatory compliance: privacy, fraud, and unfair trade practices.

4. Melanie Han, an insurance company employee, reasonably believes that insurance fraud has occurred. The state in which Ms. Han works has enacted laws based on the NAIC Insurance Fraud Prevention Model Act. The following statement(s) can correctly be made about this situation:

   A. Ms. Han is required to report her knowledge of the suspected insurance fraud to the appropriate authorities.
   B. If Ms. Han, in good faith, reports the fraud to the authorities, then she is subject to civil liability if the person reported for possible fraud later files a lawsuit against Ms. Han.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Define *quality control* and explain how insurers use metrics to monitor performance.

5. In its call center, the Datryl Insurance Company uses a data visualization tool that displays key call center metrics in real time using pie charts, dials, and other visual elements. It displays Datryl's call center data on one screen and updates it automatically and frequently. The call center manager can easily monitor current performance and can quickly intervene if performance falls below the standard. Select the answer choice that best identifies the type of data visualization tool Datryl uses and whether the tool is a qualitative or a quantitative performance measurement tool.

	Data visualization tool	Qualitative or quantitative?
(1)	dashboard	qualitative
(2)	dashboard	quantitative
(3)	scorecard	qualitative
(4)	scorecard	quantitative

Learning Objectives: (1) Explain administration systems and how insurers manage processes and technology to enhance insurance administration; (2) Explain why information security is important to insurers and describe some of the cybersecurity measures used to protect data.

6. A portion of the Treasure Insurance Company's computer network is accessible by Treasure employees and by selected external parties, such as independent financial professionals. Authorized independent financial professionals access the network with a user name and password. With regard to types of computer networks and user access controls, it is correct to say that the portion of Treasure's network that independent financial professionals can access is known as an

   (1) intranet, and Treasure uses encryption to control user access
   (2) intranet, and Treasure uses authentication to control user access
   (3) extranet, and Treasure uses encryption to control user access
   (4) extranet, and Treasure uses authentication to control user access

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Learning Objective: (1) Explain administration systems and how insurers manage processes and technology to enhance insurance administration; (2) Explain how document imaging and management systems, automated workflow capabilities, straight-through processing, and knowledge management systems facilitate paperless processing for insurers.

7. The following examples describe process management approaches that the Diamond Insurance Company uses in its underwriting department:

   - **Example A**—Diamond contracts with a vendor to handle follow-up calls to proposed insureds to get medical or other information needed for underwriting. Using a vendor to obtain needed information allows Diamond's underwriters to focus on the task of assessing risks.
   - **Example B**—Diamond's new business administration system creates computer-based records pertaining to the status and processing of specific insurance applications. The system serves as an electronic tracking sheet that accompanies the application from initial receipt through policy issue and routes the electronic documents automatically for processing.

   Select the answer choice that correctly identifies the process management approach described in Example A and in Example B.

	Example A	Example B
(1)	business process outsourcing (BPO)	automated workflow system
(2)	business process outsourcing (BPO)	data warehouse
(3)	straight-through processing (STP)	automated workflow system
(4)	straight-through processing (STP)	data warehouse

Learning Objectives: Describe how business intelligence supports data analysis and distinguish among three types of data analytics that insurers use.

8. Data analytics are often characterized as descriptive analytics, predictive analytics, or prescriptive analytics. Of the following examples, the best example of a financial services company's use of *predictive* analytics is when the company

   (1) prepares its annual financial statements
   (2) generates regional sales reports for the previous quarter
   (3) uses credit scores to determine if a customer is likely to make future payments on time
   (4) analyzes cost data from the previous year to identify activities that generate excessive costs

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Three

Learning Objective: (1) Distinguish between field underwriting and teleunderwriting, and explain how the field underwriting manual is used; (2) Describe the types of information in life insurance applications and how insurance applications are submitted to and handled by insurers.

1. Leah Kalil, a financial professional with the Canoe Insurance Company, helped Tom Lang complete an individual life insurance application. During this process, Ms. Kalil consulted a document Canoe provides to help her assess the risk Mr. Lang represents.The document also guides Ms. Kalil in assembling and submitting the application. Ms. Kalil determined that Canoe most likely would approve Mr. Lang for $500,000 of term life insurance coverage at standard premium rates. Ms. Kalil sent the application to Canoe, and Canoe issued the policy as applied for without gathering additional information. Correct statements about this situation include

   A. That Ms. Kalil performed field underwriting when she did a preliminary review of Mr. Lang's information to determine if Canoe would likely approve a specific type of coverage
   B. That Canoe rated the policy that it issued to Mr. Lang

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Describe the types of information in life insurance applications and how insurance applications are submitted to and handled by insurers.

2. Many individual life insurance applications include a section in which the financial professional can comment on any factors relevant to the case and the risk it involves. Correct statements about this section of the application include

   A. That this section of the application becomes a part of the issued insurance contract
   B. That the financial professional is prohibited from commenting on the proposed insured's health
   C. That the insurer must disclose the financial professional's comments to the insurance applicant

   (1) A, B, and C
   (2) A and B only
   (3) B and C only
   (4) none of these statements

3. The following statements are about electronic application (e-application) systems. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) Electronic application systems do not allow the use of reflexive questions in the application.
   (2) Electronic applications commonly use an e-signature method for which the applicant clicks on an "I Agree" or "I Accept" button.
   (3) Electronic application systems essentially eliminate the occurrence of incomplete applications.
   (4) Electronic application systems eliminate the need for home office personnel to re-enter information from paper applications into the insurer's new business administration system.

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4. Applications that come into the underwriting department may undergo a good order check and a suitability check. During a *suitability* check, a new business analyst typically determines whether

   (1) the financial professional is licensed to sell the type of coverage requested in the applicable jurisdiction
   (2) forms required by the insurer or regulatory authority have been completed and received
   (3) the amount and type of coverage applied for are appropriate for the client's age and financial goals
   (4) the application form is the proper one for the issuing jurisdiction

   Learning Objective: Explain common quality control methods used in the new business/underwriting area.

5. The following statement(s) can correctly be made about the need for underwriters to properly document underwriting activities and process applications in a timely manner:

   A. Underwriting documentation may be used as evidence in a court proceeding.
   B. If the proposed insured dies before the policy is issued, and a court determines that the insurer is liable for not acting with reasonable promptness in processing the application, the insurer will have to pay benefits under the policy, regardless of the proposed insured's insurability.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

   Learning Objective: Explain the importance of risk assessment and risk classification and describe the factors that insurers consider when they evaluate a risk.

6. Risk assessment for life insurance is primarily concerned with (**mortality / morbidity**). In assessing individual life insurance risks, underwriters consider a proposed insured's medical, personal, and financial risk factors. A record of reckless driving most likely would be categorized as a (**medical / personal**) risk factor. Underwriters also take into account the tendency of people who believe they have a greater-than-average likelihood of loss to seek insurance protection to a greater extent than do those who believe they have an average or a less-than-average likelihood of loss. This tendency is known as (**antiselection / moral hazard**).

   (1) mortality / personal / antiselection
   (2) mortality / medical / moral hazard
   (3) morbidity / personal / moral hazard
   (4) morbidity / medical / antiselection

7. The following statement(s) can correctly be made about the insurable interest requirement for individual life insurance and group life insurance policies:

   A. Most jurisdictions do not require an insurable interest between the policyowner and the insured to continue throughout the life of an individual life insurance policy.
   B. Group life insurance contracts are not required to meet the insurable interest requirement.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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8. Consider the following misrepresentations that were present in two applications for life insurance:

   - **Applicant A** stated on his application for insurance that he had no serious health conditions, when, in fact, he had been treated for cancer five years ago. Had the insurer known the truth, it would have issued the policy at a higher premium rate.
   - **Applicant B** stated on her application for insurance that she had recently broken her right leg, when, in fact, she had broken her left leg. The misrepresentation would not have affected the formation of the insurance contract.

   Based on this information, a *material* misrepresentation exists in the application submitted by

   (1) both Applicant A and Applicant B
   (2) Applicant A only
   (3) Applicant B only
   (4) neither Applicant A nor Applicant B

   Learning Objective: Distinguish among the preferred, standard, substandard, and declined risk classes.

9. The Tulip Life Insurance Company assigns proposed life insureds to the following risk classes: preferred, standard, substandard, and declined. One correct statement about Tulip's risk classes is that proposed insureds assigned to the

   (1) *preferred* class have an anticipated mortality rate that is lower than average
   (2) *standard* class represent the lowest degree of mortality risk among the classes
   (3) *substandard* class have a lower anticipated mortality rate than those assigned to the standard class
   (4) *substandard* class have a mortality risk that cannot be predicted because of recent or unusual medical conditions

   Learning Objective: Explain how an insurer ensures that it approves and issues coverage that is equitable to the insureds, equitable to the insurer, and deliverable by the financial professional.

10. The following statement(s) can correctly be made about an insurer's life insurance underwriting principles and guidelines:

    A. The insurer with the strictest underwriting guidelines always has the most favorable financial results.
    B. Risk classification maintains equity among insureds by ensuring that each insured pays a premium rate that reflects the degree of risk represented by the insured.

    (1) Both A and B
    (2) A only
    (3) B only
    (4) Neither A nor B

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Learning Objective: List typical underwriting job positions and authority levels, define the different approaches that insurers use to organize the work within underwriting units, and list examples of each approach.

11. For individual life insurance, insurers often choose to organize underwriting units using a case assignment system or a work division system, or some combination of the two systems. The (**case assignment / work division**) system assigns cases to underwriters based on characteristics such as type of application, geographic origin, or the financial professional who submits the application. One benefit of the (**case assignment / work division**) system is that underwriters may become more productive and effective through specialization.

    (1) case assignment / case assignment
    (2) case assignment / work division
    (3) work division / case assignment
    (4) work division / work division

Learning Objective: Define and describe *automated underwriting* and *simplified underwriting*.

12. The following statements are about simplified underwriting, which many insurers use for certain types of products. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

    (1) Insurers often use simplified underwriting for guaranteed issue policies.
    (2) Premium rates for simplified-issue policies are always lower than premium rates for identical fully underwritten policies.
    (3) Insurers typically do not request lab tests or medical records for applications that are subject to simplified underwriting.
    (4) Policies issued through simplified underwriting are appropriate for distribution online and through non-traditional channels such as banks and retail stores.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Four

Learning Objective: Describe how life insurance underwriters use information in the application for insurance, various medical reports and tests, personal interviews, investigative consumer reports, and pharmaceutical databases to assess an insured's medical risk factors.

1. Maria Falgout, age 34, completed a nonmedical application for a $200,000 life insurance policy from the Gemini Insurance Company. Ms. Falgout currently has in force a $75,000 life insurance policy that Gemini issued on a nonmedical basis. Gemini's nonmedical limit for persons between the ages of 31 and 40 is $200,000. When Gemini applies its nonmedical limit to Ms. Falgout's situation, Gemini (**will / will not**) consider the $75,000 life insurance policy currently in force with Gemini. Gemini most likely (**will / will not**) issue the $200,000 applied for on a nonmedical basis.

   (1) will / will
   (2) will / will not
   (3) will not / will
   (4) will not / will not

2. An application for life insurance generally contains medical history questions about the proposed insured and may also require a paramedical examination or a medical examination. Components of the application that become part of the final insurance contract include

   A. Medical test results from a paramedical examination
   B. Disclosures made by the proposed insured to a medical examiner
   C. The proposed insured's answers to medical history questions in the application

   (1) A, B, and C
   (2) A and C only
   (3) B and C only
   (4) B only

Learning Objective: Describe how insurers can and cannot use the underwriting information available from MIB Group, Inc.

3. The Diode Insurance Company is a member company of MIB, Inc. (MIB). When underwriting an application for a whole life insurance policy on the life of Matthew Campbell, Diode requested information about Mr. Campbell from MIB. The MIB report provided coded information about impairments that had been associated with Mr. Campbell. One correct statement about this situation is that Diode

   (1) can deny coverage to Mr. Campbell based solely on the information received from MIB
   (2) can store the information from MIB in a file to which all Diode employees have access
   (3) was able to request MIB information without obtaining Mr. Campbell's written authorization
   (4) must notify MIB if it has reason to believe that the information about Mr. Campbell is inaccurate or incomplete

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Learning Objective: Describe how life insurance underwriters use information in the application for insurance, various medical reports and tests, personal interviews, investigative consumer reports, and pharmaceutical databases to assess an insured's medical risk factors.

4. Underwriters may order a specialized medical questionnaire. Consider the following proposed insureds:

   - Paula Brown, age 45, has a history of diabetes
   - Ken Martin, age 50, has no significant medical impairments in his medical history

   A specialized medical questionnaire would be appropriate for

   (1) both Ms. Brown and Mr. Martin
   (2) Ms. Brown only
   (3) Mr. Martin only
   (4) neither Ms. Brown nor Mr. Martin

5. The following statements are about three common medical tests: an electrocardiogram (ECG), a urinalysis, and an oral specimen (saliva) test. Select the answer choice containing the correct statement.

   (1) A resting ECG provides an insurer with a more detailed analysis of a proposed insured's cardiac condition than does a stress ECG.
   (2) Oral specimen (saliva) testing typically is less expensive than blood or urine testing.
   (3) A urinalysis test cannot be used to verify whether a proposed insured who claims to be a nonsmoker qualifies for non-smoker rates.
   (4) In underwriting cases that call for ECGs, general industry practice is to obtain a stress ECG rather than a resting ECG.

6. One source of information about a proposed insured is an inspection report. The following statements are about inspection reports. Select the answer choice containing the correct statement.

   (1) Generally, an inspection report gathers more medical information than it does personal and financial information.
   (2) The information contained in an inspection report can be gathered only from public records, such as court records and motor vehicle records.
   (3) An inspection report is a type of investigative consumer report that a consumer reporting agency prepares about the proposed insured.
   (4) Underwriters routinely order inspection reports for applications involving low face amounts.

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Learning Objective: Discuss the importance of the following factors for underwriting individual life insurance: impairments, age, gender, and build.

7. The following statements are about factors that underwriters evaluate to assess a proposed life insured's mortality risk. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) Insurers consider the gender of the proposed insured when determining the amounts and types of coverage they will issue to a particular insured, but they do not use gender to establish premium rates.
   (2) Maximum age limits above which insurers will not issue life insurance generally are lower for term insurance than for whole life insurance.
   (3) A 60-year-old man purchasing life insurance for the first time is statistically a greater risk for possible antiselection than is a 60-year-old man who has purchased insurance throughout his adult life.
   (4) Many underwriters use body mass index (BMI) results instead of build charts to determine risk classes, because build charts typically do not address problems associated with being underweight or with rapid weight gains or losses.

Learning Objective: Describe the sources of information used to assess personal risk factors in individual life insurance underwriting.

8. An underwriter used the following information sources to assess the risk posed by Eric Shapiro, a proposed insured for life insurance:

   - **Document A** contained Mr. Shapiro's answers to questions about the extent of his participation in scuba diving activities. This document also asked Mr. Shapiro to provide proof that he was qualified or certified to take part in such activities.
   - **Document B** contained information about Mr. Shapiro's driving history, including information about traffic violations, as well as arrests and convictions for driving-related incidents.

   Select the response that correctly identifies Document A and Document B.

	Document A	Document B
(1)	attending physician's statement (APS)	motor vehicle record (MVR)
(2)	attending physician's statement (APS)	personal history interview (PHI)
(3)	personal questionnaire	motor vehicle record (MVR)
(4)	personal questionnaire	personal history interview (PHI)

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Learning Objective: List the personal risk factors used in underwriting and describe how individual life insurance underwriters assess a proposed insured's personal risk factors.

9. The following statements are about personal factors that underwriters assess when evaluating proposed insureds for individual life insurance coverage. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) To qualify for the removal of a hazardous occupation rating, the insured must work for at least one year in a less hazardous occupation and must not be likely to return to the more hazardous occupation.
   (2) Most insurers deny coverage for any applicant who has had two or more driving under the influence (DUI) violations within the last five years.
   (3) When a proposed insured undergoes a paramedical or medical examination, the insurer usually requests a laboratory test for the presence of cotinine in the insured's blood, urine, or saliva.
   (4) Insurers typically issue a life insurance policy with an aviation exclusion rider if the insured is involved in any type of civilian aviation.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Five

Learning Objective: Describe the risks deterred by financial underwriting.

1. The following statement(s) can correctly be made about antiselection and speculation—two risks that insurers address with financial underwriting:

   A. Insurers' experience has shown that the possibility of antiselection tends to be greater when applicants seek policies with large face amounts.
   B. Financial underwriting prevents speculation by ensuring that the amount of coverage applied for is consistent with the potential financial loss.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

2. Two types of life insurance arrangements involving third parties that may involve speculation are life settlements and stranger-initiated life insurance (STOLI). If a policyowner purchases a life insurance policy with the intent of selling it to a third party upon issuance, then the arrangement is called a (**life settlement / STOLI**) transaction. Most (**life settlement / STOLI**) arrangements are legal and allowed by many insurers.

   (1) life settlement / life settlement
   (2) life settlement / STOLI
   (3) STOLI / life settlement
   (4) STOLI / STOLI

Learning Objectives: (1) List and describe the sources of financial information used in underwriting individual life insurance; (2) Describe the financial factors an underwriter assesses to determine whether the amount of individual life insurance coverage requested is appropriate.

3. Underwriters use net worth to determine the appropriate amount of insurance coverage needed to preserve a proposed insured's estate. A person's net worth is correctly defined as the

   (1) amount of life insurance in force on the person's life
   (2) net cash value of any life insurance the person owns
   (3) difference between the person's assets and liabilities
   (4) difference between the person's earned income and unearned income

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Learning Objective: List and describe the sources of financial information used in underwriting individual life insurance.

4. When a proposed insured owns a business, an underwriter may request the business's financial statements. An underwriter would typically consult a balance sheet to obtain

   (1) commentary and analysis from the business's management team concerning the organization's current and future performance and business position relative to competitors
   (2) information about the cash received and paid in the operating, investing, and financing activities associated with a business
   (3) information about the value of the assets, liabilities, and owners' equity of a business on a specific date
   (4) information about the amount of revenues and expenses of a business during a specified accounting period

Learning Objective: Identify three generally accepted needs for purchasing personal life insurance.

5. Consider the following applicants' financial needs for purchasing insurance on their lives:

   - Gene Stockton wants insurance coverage to pay costs associated with the settlement of his estate
   - Jorge Montoya wants insurance coverage to provide income protection for his family
   - Mollie McPherson named Charity A as the beneficiary of her insurance coverage

   It most likely is correct to say that a generally accepted financial need for purchasing personal life insurance has been met by

   (1) Mr. Stockton, Mr. Montoya, and Ms. McPherson
   (2) Mr. Stockton and Mr. Montoya only
   (3) Mr. Stockton and Ms. McPherson only
   (4) Mr. Montoya and Ms. McPherson only

Learning Objective: Describe the financial factors an underwriter assesses to determine whether the amount of individual life insurance coverage requested is appropriate.

6. Madison Chen, age 27, has $75,000 of group term life insurance, which will terminate when her employment terminates. She also has $100,000 of personal life insurance with the Zebra Life Insurance Company. Ms. Chen submitted an application to the Clover Insurance Company for a $300,000 policy on her life. To determine whether the requested amount of coverage is appropriate, Clover's underwriter will analyze Ms. Chen's current income and the amount of insurance she currently has in force. With regard to the in-force coverage, the underwriter most likely determined Ms. Chen's total amount of in-force coverage to be

   (1) $0
   (2) $75,000
   (3) $100,000
   (4) $175,000

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Learning Objective: Use a factor table and the percentage-of-income rule to calculate the maximum amount of coverage a proposed insured with a specified income could qualify for.

7. Martin Blank, whose current gross earned and unearned annual income totals $100,000, applied for an individual life insurance policy. The underwriter used the following guidelines to determine Mr. Blank's ability to pay for insurance coverage:

   - 5 percent of the first $10,000 of a person's annual gross income can be spent on insurance premiums
   - 10 percent of the next $10,000 of a person's annual gross income can be spent on insurance premiums
   - 20 percent of the remainder of a person's annual gross income can be spent on insurance premiums

   Select the response that correctly identifies the guideline the underwriter used to determine Mr. Blank's ability to pay for insurance and the amount of money he can afford to pay annually for life insurance coverage, based on the guideline.

	Guideline	Amount of money
(1)	extra-percentage table	$17,500
(2)	extra-percentage table	$35,000
(3)	percentage-of-income rule	$17,500
(4)	percentage-of-income rule	$35,000

Learning Objective: Explain how underwriters use the numerical rating system to classify individual life insurance risks and calculate the total risk represented by a proposed insured.

8. Janice Cohen recently applied to the Jade Insurance Company for individual insurance on her life. Jade's underwriter used the numerical rating system to assign Ms. Cohen to a risk class. The underwriter assigned debits and credits to specific factors in Ms. Cohen's medical and personal history and calculated a numerical value that represents the degree of risk Ms. Cohen presents to Jade. For example, to account for the fact that Ms. Cohen has diabetes, the underwriter would assign a

   (1) credit, which will decrease Ms. Cohen's numerical rating
   (2) credit, which will increase Ms. Cohen's numerical rating
   (3) debit, which will decrease Ms. Cohen's numerical rating
   (4) debit, which will increase Ms. Cohen's numerical rating

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Learning Objective: Describe three methods of charging for substandard individual life insurance risks and identify which method is most appropriate based on whether a risk is expected to increase, decrease, or remain constant over time.

9. The Larkspur Insurance Company determines the premium rate to charge for substandard risks by using one of the following methods: a table rating, a temporary flat extra premium, or a permanent flat extra premium. Larkspur underwriters are considering the following proposed insureds:

   - Linda Anaya has diabetes and is 50 pounds overweight.
   - Kenneth Fane has a cancer in remission, and Larkspur expects this extra mortality risk to decrease and eventually disappear over a limited time period.

   Select the response that correctly identifies the method that Larkspur most likely would use to charge for the substandard risks presented by Ms. Anaya and by Mr. Fane.

	Ms. Anaya	Mr. Fane
(1)	table rating method	temporary flat extra premium method
(2)	table rating method	permanent flat extra premium method
(3)	permanent flat extra premium method	temporary flat extra premium method
(4)	permanent flat extra premium method	table rating method

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Six

Learning Objective: List the basic features of multi-life policies, juvenile insurance policies, and direct response policies and explain how each type of coverage is typically underwritten.

1. An insurer has received two applications for multi-life insurance policies:

   - Clark and Jane Paget have applied for a typical joint (first-to-die) life insurance policy. The underwriter has not yet reviewed this application.
   - Peter and Sonja Sinex have applied for a typical last survivor (second-to-die) life insurance policy. The underwriter determined that Sonja is a ratable risk and that Peter is a standard risk.

   With regard to these applications, it is correct to say

   A. That the underwriter will not make separate evaluations of Clark and Jane
   B. That the insurer most likely can issue the coverage on Peter and Sonja if they agree to pay an increased premium rate

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

2. Oliver Snow applied for a juvenile life insurance policy insuring the life of his daughter, Brenda. If the underwriting process for this policy is typical of the juvenile insurance underwriting process, the underwriter most likely will

   (1) require that Brenda undergo a physical examination
   (2) consider whether other children in the family are insured at similar levels
   (3) require Mr. Snow to prove that Brenda is his biological child and not adopted
   (4) require Mr. Snow to name Brenda as the owner of the insurance policy

Learning Objective: Describe the needs met by business life insurance and list the basic features of a buy-sell agreement, key-person life insurance, split-dollar life insurance, and creditor insurance.

3. The following statement(s) can correctly be made about business life insurance—individual life insurance policies issued for business purposes:

   A. Unlike most personal life insurance, business life insurance does not require insurable interest.
   B. Business life insurance is usually third-party insurance.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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4. One type of employee benefit funded by life insurance is a legal arrangement between an employer and an employee that allows the employer and employee to share in the payment of the premiums for a cash value life insurance policy covering the employee. The agreement specifies each party's right to the policy's cash value and death benefit, and typically allows the employer to recoup the costs of the premiums paid by the employer at a later time. Either the employer or the employee is the policyowner, depending on the terms of the agreement. This type of employee benefit plan is a

   (1) buy-sell agreement
   (2) split-dollar life insurance plan
   (3) creditor insurance plan
   (4) stock redemption agreement

   Learning Objective: Describe the underwriting process for business life insurance and identify the warning signs that indicate a business is in financial difficulty or may be engaging in commercial fraud.

5. An underwriter is evaluating an application for business life insurance submitted by the Penguin Corporation. The underwriter knows the following facts about Penguin:

   - **Fact A**—Penguin has inadequate financing and a negative cash flow from its operations
   - **Fact B**—Penguin recently received loans from two of its clients
   - **Fact C**—Penguin receives income from a wide variety of projects

   Indications that Penguin is in financial difficulty include facts

   (1) A, B, and C
   (2) A and B only
   (3) A and C only
   (4) B and C only

   Learning Objective: Describe three methods an underwriter can use to estimate the value of a business.

6. For business insurance purposes, an underwriter assessed the value of the Braswell Company using the income-based approach to business valuation. This information indicates that the underwriter assessed Braswell's value primarily by

   (1) focusing on the earning capacity of Braswell
   (2) calculating the book value of Braswell
   (3) calculating the excess of Braswell's assets over its liabilities
   (4) collecting information about the selling prices of businesses that are comparable to Braswell

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Learning Objective: Calculate a debt-to-equity ratio, current ratio, quick ratio, and return-on-equity (ROE) ratio and explain how an underwriter uses these ratios to assess a business's solvency, liquidity, and profitability.

7. An underwriter assessed the financial condition of the Thistle Packing Company by examining Thistle's solvency, liquidity, and profitability. The underwriter calculated one financial ratio by dividing Thistle's net income by the company's owners' equity. In this situation, the underwriter calculated the

   (1) return-on-equity (ROE) ratio, which is a measure of Thistle's solvency
   (2) return-on-equity (ROE) ratio, which is a measure of Thistle's profitability
   (3) quick ratio, which is a measure of Thistle's liquidity
   (4) current ratio, which is a measure of Thistle's profitability

Learning Objective: Identify the underwriting considerations for each type of business life insurance coverage.

8. When an underwriter reviews an application for creditor insurance, circumstances that would cause the underwriter to view the application favorably include

   A. When it seems likely that the borrower will have to rely on the proceeds of the life insurance policy to pay off the loan
   B. When the applicant is requesting creditor insurance for a short-term loan

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Describe underwriting considerations for policy replacements.

9. The following statements are about policy replacements and the underwriting considerations that apply to them. Select the answer choice containing the correct statement.

   (1) A policyowner can use a Section 1035 exchange to avoid incurring a taxable gain at the time of a policy replacement transaction.
   (2) An external replacement occurs when the new policy is purchased from the same insurer that issued the original policy.
   (3) When the policyowner surrenders a permanent life insurance policy, a capital gain will result if the cost basis of the policy is greater than the policy's surrender value.
   (4) Most states that have adopted the NAIC Replacement of Life Insurance and Annuities Model Regulation prohibit external replacements.

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Learning Objective: Identify different types of supplemental benefits that life insurance policies may provide and describe typical underwriting considerations for each type of benefit.

10. The following statements are about underwriting considerations for supplemental benefits. Select the answer choice containing the correct statement.

    (1) A waiver of premium for disability (WP) benefit usually covers only disabilities that begin before the insured reaches a specified age, such as age 65.
    (2) Usually, the maximum age for issuing a guaranteed insurability (GI) benefit is 65.
    (3) Insurers generally issue accidental death benefit (ADB) riders at standard rates only to proposed insureds who are classified as standard risks.
    (4) For family benefits, insurers usually evaluate each family member individually and will rate the policy if any family member has a mortality rating above standard.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Seven

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Use the following information to answer questions 1 through 3.

The Solar Company is purchasing group life insurance for the first time and will offer its employees a noncontributory group life insurance plan. Solar worked with a sales intermediary to create and distribute Document A to insurance companies. Document A provides details about the requested coverage and requests a bid.

The Holiday Insurance Company received Document A and used the information provided by Solar to make an initial assessment of the risk. Holiday determined that Solar met the underwriting requirements for the requested coverage and prepared Document B, which details the specific provisions of the group insurance plan that Holiday created for Solar. Solar used Document B to compare the costs and benefits of Holiday's plan to the offers from other insurance companies.

Learning Objective: Describe the steps in the group underwriting process and the underwriting documents typically used during this process.

1. In this situation, *Document B* is correctly identified as a

   (1) request for proposal (RFP)
   (2) benefit transmittal
   (3) proposal for insurance
   (4) master application

Learning Objective: Compare the process for contributory and noncontributory plans and identify the required level of participation for each type of plan.

2. The fact that Solar's group insurance plan will be noncontributory indicates that employees who are enrolled in the plan (**are / are not**) required to pay a premium for their coverage. Holiday most likely will require (**75% / 100%**) of eligible employees to participate in Solar's group insurance plan.

   (1) are / 75%
   (2) are / 100%
   (3) are not / 75%
   (4) are not / 100%

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Learning Objectives: Describe the steps in the group underwriting process and the underwriting documents typically used during this process.

3. In this situation, *Document B* most likely included a benefit schedule. A benefit schedule typically consists of

   (1) demographic information about the group prospect as a unit and about individual members within the group
   (2) a table that specifies the amount of coverage provided for each class of group insureds
   (3) observations and recommendations made by the producer about the appropriateness of the requested coverage
   (4) a list of the premium rates required for each type of coverage under the plan

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Learning Objective: List the risk factors that pertain to a group prospect and describe their effect on the risk presented by the group.

4. The following statements are about factors that a group underwriter considers when assessing the risk presented by a group prospect. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) To be eligible for group insurance coverage, a group must have been formed for a purpose other than purchasing insurance coverage.
   (2) Large groups are more likely than small groups to have an actual claim experience that is the same or nearly the same as the expected claim experience.
   (3) Underwriters are more likely to require individual group members of large groups, rather than small groups, to provide evidence of insurability.
   (4) One way an insurer can address the problems associated with high turnover rates is by extending the probationary period for new employees entering the plan.

Learning Objective: Describe how the design and administration of a group plan can affect the group coverage.

5. An underwriter considers plan design elements when evaluating a proposed group insurance plan. The following statement(s) can correctly be made about eligibility requirements and the distribution of plan administration responsibilities:

   A. Noncontributory plans typically include an eligibility period during which group members can enroll without having to provide evidence of insurability, whereas contributory plans do not include this design element.
   B. In general, the more administrative activities the group policyholder performs, the higher the premium the group will pay for coverage.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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Learning Objective: Distinguish among manual rating, experience rating, and blended rating and calculate a premium using blended rating.

6. An underwriter used blended rating to calculate the group life insurance premium for the Oakland Company. The underwriter has the following information:

   - Premium using experience rating: $230
   - Premium using manual rating: $250
   - Credibility factor: 20%

   Oakland's premium for this coverage is equal to

   (1) $234
   (2) $246
   (3) $296
   (4) $384

7. The Bellwater Company sometimes uses pooling to calculate the premium rate for group insurance coverage. Bellwater would appropriately use pooling to

   (1) combine several small groups into one group that Bellwater can underwrite as if it were one large group
   (2) calculate the experience refund that a group is eligible to receive
   (3) assign a credibility factor to a group's own claim experience
   (4) assign a small group to one of the classes that Bellwater has established based on its own experience with other groups and on government data

Learning Objective: Describe how an insurer minimizes the risk associated with late enrollees.

8. The Winter Company offers a contributory group insurance plan that includes standard requirements for late enrollees. Consider whether the following individuals are required to present evidence of insurability to enroll in Winter's plan:

   - Amy Sikes enrolled in Winter's plan during her 31-day eligibility period. Six months later, Ms. Sikes was married. She enrolled her husband, Allen, as a dependent two weeks after the wedding.
   - Max Ware elected not to enroll in Winter's plan during his 31-day eligibility period. Six months later, Mr. Ware changed his mind and asked to enroll in the plan.

   The insurer most likely will require evidence of insurability from

   (1) both Allen and Max
   (2) Allen only
   (3) Max only
   (4) neither Allen nor Max

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Learning Objective: Explain renewal underwriting.

9. The following statement(s) can correctly be made about renewal underwriting for group life insurance policies:

   A. Renewal underwriting is required for all group life insurance policy renewals.
   B. If a group's claim experience indicates that a significant premium increase is necessary, changing the benefit design by reducing benefits is one change in the plan that could offset or eliminate the premium increase.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Eight

Learning Objective: Identify the roles that insurance companies can take in a reinsurance transaction.

1. The Templeton Life Insurance Company issued a $1,000,000 individual life insurance policy and transferred $700,000 of the risk to the Multi Reinsurance Company. Multi Re, in turn, ceded $300,000 of the risk on this policy to the Vectra Reinsurance Company. With regard to the roles of the insurance companies in this situation, it is correct to say that Templeton is the

   (1) direct writer, and Multi Re is the retrocessionaire
   (2) direct writer, and Vectra Re is the retrocessionaire
   (3) assuming company, and Multi Re is the retrocedent
   (4) assuming company, and Vectra Re is the retrocedent

Learning Objective: Describe the characteristics of assumption reinsurance and traditional indemnity reinsurance.

2. The following statements are about traditional indemnity reinsurance. Select the answer choice containing the correct statement.

   (1) Under traditional indemnity reinsurance, the reinsurer assumes the ceding company's entire legal obligation for the ceded business.
   (2) The direct writer, the reinsurer, and the policyowners are parties to a traditional indemnity reinsurance agreement.
   (3) Traditional indemnity reinsurance agreements do not allow the direct writer to take back, or recapture, reinsured risks.
   (4) Traditional indemnity reinsurance typically transfers risk on a direct writer's new business rather than its in-force business.

Learning Objective: Describe several benefits—in addition to spreading the risk—that indemnity reinsurance can provide for direct writers.

3. Indemnity reinsurance provides certain benefits to direct writers. One benefit of reinsurance to a direct writer is that the transfer of certain insurance risks to a reinsurer can

   (1) decrease the direct writer's financial capacity
   (2) control the frequency of claims submitted to the direct writer
   (3) eliminate surplus relief for the direct writer
   (4) decrease the direct writer's surplus strain

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Learning Objective: Identify the rights and obligations of the direct writer and the reinsurer when reinsurance is ceded on an automatic, facultative, or facultative-obligatory basis.

4. The following paragraph contains an incomplete statement about the financial limits for automatic cessions. Select the answer choice that correctly completes the statement.

   A reinsurer may specify certain limits to the risk it will accept in an automatic reinsurance agreement. For example, one such limit specifies the maximum allowable monetary amount of total insurance—both in force and applied for—with all companies on any one life that qualifies for automatic cession. This limitation, known as the _____, protects a reinsurer from excessive risk resulting from the accumulation of several policies on the same life.

   (1) retention limit
   (2) automatic binding limit
   (3) jumbo limit
   (4) minimum cession

5. A direct writer can cede reinsurance risk on an automatic, a facultative, or a facultative-obligatory (fac-ob) basis. When risks are ceded on an *automatic* basis, the

   (1) direct writer must cede all risks that meet the specifications in the reinsurance agreement
   (2) reinsurer can reject cases that otherwise meet the specifications of the reinsurance agreement for specific reasons, such as a lack of available financial capacity
   (3) reinsurer performs an independent underwriting evaluation of each risk that the direct writer submits for reinsurance
   (4) premium rates for reinsurance coverage are not defined in the agreement, so the reinsurer calculates a premium for each case submitted for reinsurance

Learning Objective: Describe how risk is shared under a proportional reinsurance arrangement and under a nonproportional reinsurance arrangement.

6. The following statements are about proportional reinsurance and nonproportional. Select the answer choice that applies only to *nonproportional* reinsurance.

   (1) The reinsurance arrangement describes the reinsurer's specific share of the risk.
   (2) The direct writer and reinsurer agree to share premiums and claim obligations according to a specified percentage.
   (3) The reinsurer and the direct writer know in advance what share of a risk the reinsurer will ultimately assume.
   (4) The reinsurer begins to share in claim liabilities only after a direct writer's losses exceed a specified maximum limit.

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Learning Objective: Explain the roles of reinsurance analysts and other insurance company staff in reinsurance administration.

7. A direct writer may use reinsurance intermediaries when the direct writer lacks reinsurance experience in a particular area. A reinsurer may use reinsurance marketing officers, also called reinsurance account executives, to help establish reinsurance agreements. The following statement(s) can correctly be made about reinsurance intermediaries and reinsurance marketing officers:

   A. States do not require reinsurance intermediaries to be licensed to sell insurance.
   B. Reinsurance marketing officers are employees of the reinsurer rather than independent contractors.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Explain the preplacement of reinsurance, the process for reserving capacity for requested coverage, and the placement of reinsurance.

8. Reinsurance administration includes the following stages: preplacement, placement, in-force, and termination. Consider the following activities with regard to the stage in which they would occur in the reinsurance process:

   - **Activity A**—The reinsurer's underwriters evaluate underwriting documents that the direct writer submits with a request for coverage.
   - **Activity B**—The direct writer pays the reinsurance premiums to the reinsurer and the reinsurance parties make adjustments to the reinsurance coverage as changes are made to the reinsured policies.

   With regard to the stage of the reinsurance process during which Activity A and Activity B take place, it most likely is correct to say that

   (1) Activity A occurs during the preplacement stage
   (2) Activity A occurs during the in-force stage
   (3) Activity B occurs during the placement stage
   (4) Activity B occurs during the preplacement stage

9. A reinsurance analyst for the Jubilant Reinsurance Company reserved capacity for a particular case and gave the case a status code of "reserved." With regard to the life cycle of a reinsurance case and the common status codes reinsurers use, it most likely is correct to say that the status code "reserved" means that

   (1) Jubilant Re has set aside a portion of its financial capacity to fund financial obligations under anticipated new business
   (2) the direct writer has notified Jubilant Re of a claim filed under the reinsured policy
   (3) the direct writer has rejected Jubilant Re's facultative case offer
   (4) Jubilant Re has agreed to reinsure an automatic case

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10. The Miracle Insurance Company submitted a facultative reinsurance case to the Bugle Reinsurance Company. To follow up on reserved capacity, Bugle sent a document to notify Miracle that the offer to reinsure was about to expire and to request a response or action on the case from Miracle. This information indicates that Bugle Re sent to Miracle a document known as

    (1) an extension request
    (2) a drop notice
    (3) a notice of expiry
    (4) a close notice

    Learning Objective: Describe the in-force administration procedures followed to change reinsurance coverage, process billing statements, and record policy reserves.

11. The Egret Insurance Company is the reporting party in its reinsurance arrangement with the Carillon Reinsurance Company. Egret prepares a report that summarizes and reconciles the changes that have occurred in reinsured policies during the reporting period. This report presents a beginning total cession count and reinsured risk amount, any increases or decreases in the cession count and reinsured risk amount, and a final total cession count and reinsured risk amount for that reporting period. By definition, the document that Egret submitted to Carillon Re is known as

    (1) a reserve listing
    (2) a policy exhibit
    (3) a billing statement
    (4) an in-force policy report

12. A policy change report shows details for all policies that, during the reporting period, have changed in a way that affects the amount of the reinsurance coverage, the reinsurance premium, or the allowance. An allowance is an amount that the (**direct writer pays to the reinsurer / the reinsurer pays to the direct writer**). In general, allowances are (**larger / smaller**) in early policy years than in later policy years.

    (1) direct writer pays to the reinsurer / larger
    (2) direct writer pays to the reinsurer / smaller
    (3) reinsurer pays to the direct writer / larger
    (4) reinsurer pays to the direct writer / smaller

13. Certain changes to a reinsured policy or a block of reinsurance business can increase or decrease the amount of risk assumed by the reinsurer. Examples of changes that affect the amount of risk include all of the following changes **EXCEPT** for a

    (1) policy reinstatement
    (2) correction to the insured's name
    (3) policy conversion
    (4) decrease in the policy's face amount

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Learning Objective: Describe the steps the direct writer and reinsurer take to administer terminations of reinsurance.

14. For this question, if answer choices (1) through (3) are all correct, select answer choice (4). Otherwise, select the one correct answer choice.

    Although traditional indemnity reinsurance is intended to be an ongoing and permanent transfer of risk, sometimes reinsurance coverage terminates for certain policies. Reasons that reinsurance coverage terminates typically include

    (1) recapture of the ceded risk by the direct writer
    (2) death of the insured
    (3) policy surrender
    (4) all of the above

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Nine

Learning Objectives: (1) Describe the responsibilities of customer service representatives and the skills and attributes they need to be successful; (2) List and describe some of the benefits of high-quality customer service and some ways that insurance companies use customer service to enhance the customer experience.

1. Customer service is a priority for insurance companies, in part because the cost of keeping existing customers is (**greater / less**) than the cost of acquiring new customers. Customer service representatives (CSRs) need a variety of skills and attributes, including (**loyalty / empathy**), which is the ability to understand another person's emotional state and imagine how you would feel in a similar situation.

   (1) greater / loyalty
   (2) greater / empathy
   (3) less / loyalty
   (4) less / empathy

Learning Objective: List and describe some common types of work teams for customer service representatives.

2. The Domino Insurance Company sells group insurance products. Domino's customer contact center has five work teams, some of which handle a few large group clients and others handle a larger number of smaller groups. This form of organization allows team members to become familiar with the needs and typical requests for specific customers. The teams do not have a traditional manager. Instead, team members handle many traditional management responsibilities, such as planning and monitoring the work. Select the answer choice that best describes the type of organization Domino uses for its customer contact center and the type of work teams that staff the contact center.

	Type of organization	Type of work teams
(1)	by method of communication	traditional team
(2)	by distribution system	semi-autonomous team
(3)	by customer	self-directed team
(4)	by territory	semi-autonomous team

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Learning Objective: List and explain some types of communication technology used to facilitate customer interactions.

3. The Hudson Life Insurance Company uses a type of computer telephony integration (CTI) in its customer contact center that delivers a customer's account information to a CSR's computer along with the customer's telephone call. The CTI system identifies the inbound caller's telephone number and tries to match it to a number in Hudson's customer database, a process known as (**automatic number identification (ANI) / speech recognition**). If the system can match the number, it uses (**screen pop / client portal**) technology to deliver the customer's account information and relevant data to the CSR's computer at the same time as the call.

   (1) automatic number identification (ANI) / screen pop
   (2) automatic number identification (ANI) / client portal
   (3) speech recognition / screen pop
   (4) speech recognition / client portal

Learning Objective: Explain the difference between multichannel service and omnichannel service.

4. For this question, if answer choices (1) through (3) are all correct, select answer choice (4). Otherwise, select the one correct answer choice.

   Many insurers seek to provide omnichannel service. Actions that an insurance company generally should take to provide effective omnichannel service include

   (1) integrating communication channels
   (2) providing the same service quality across channels
   (3) understanding each customer's communication channel preferences
   (4) all of the above

Learning Objective: Explain some of the ways that insurance companies can use data analysis to improve customer service.

5. The following statement(s) can correctly be made about insurers' use of data analytics to improve customer service:

   A. Data analysis allows insurers to group customers into segments based on factors such as behaviors and demographic categories.
   B. Insurers can use information from data analytics to identify strategies for increasing customer retention.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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Learning Objective: Describe how complaint management and privacy regulations affect customer service.

6. The following statements are about two compliance issues that are important for customer service: complaint management and customer privacy. Select the answer choice containing the correct statement.

   (1) Insurers typically preserve a record of written complaints, but do not document oral complaints.
   (2) Insurers are required to submit their complaint documentation annually to state insurance departments for examination.
   (3) The policyowner, the insured, and the beneficiary are the parties that have a legal right to receive information about an insurance policy.
   (4) The use of a client portal to execute transactions eliminates the need to send follow-up information to the policyowner after a request has been processed.

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Ten

Learning Objective: Give examples of the routine service requests insurance companies receive from policyowners and describe how customer service representatives (CSRs) help customers complete those transactions.

1. An insurer's customer service area fulfills a number of policyowner requests, including requests to increase or decrease insurance coverage, change the type of insurance coverage, or add or delete riders. Some policy changes could require additional underwriting because the change increases the risk to the insurer. The following statements describe policyowner requests for changes to their policies:

   - **Request A**—The policyowner requested an increase the face amount of her whole life insurance policy that is not included as an option in the policy.
   - **Request B**—The policyowner asked the insurer to remove the accidental death benefit (ADB) rider from his life insurance policy.
   - **Request C**—The policyowner of a whole life insurance policy requested a change to a higher-premium insurance plan with a greater investment in the policy. The policy does not include a waiver of premium benefit.

   Requests that increase the risk to the insurer and could require additional underwriting include

   (1) Request A, Request B, and Request C
   (2) Request A and Request B only
   (3) Request A only
   (4) Request C only

2. The following statements are about customer service requests involving premium payments. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) Insurers often encourage the use of electronic fund transfer (EFT) arrangements because they decrease the likelihood of policy lapse for nonpayment of premium.
   (2) When an insurer makes a late payment offer to a policyowner, the insurer waives its right to future timely payment of the policy premium.
   (3) If a policyowner pays a premium during the policy's grace period, the premium is considered to have been paid "on time" and coverage will continue.
   (4) Insurers typically reject requests to change the frequency of premium payment if a policy includes a waiver of premium provision and the premium is currently being waived.

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Learning Objective: Identify different types of beneficiaries and explain the process for changing a beneficiary designation.

3. Kathy Barton purchased an insurance policy on her own life and made a class beneficiary designation, naming as the beneficiaries "my children, Jasper Simpson and Corinne Simpson, in equal shares, per stirpes." Kathy died while the policy was still in force, and the policy proceeds totaled $120,000. At the time of Kathy's death, Jasper was deceased, but had two surviving children. Corinne was still living and had one child. This information indicates that the amount of the policy benefit that *Corinne* is entitled to is

   (1) $30,000
   (2) $40,000
   (3) $60,000
   (4) $120,000

Learning Objective: Distinguish between an absolute assignment and a collateral assignment of a life insurance policy and describe the CSR's role in completing an assignment.

4. The following statement(s) can correctly be made about the assignment of life insurance policies:

   A. If a policy has an irrevocable beneficiary, then the irrevocable beneficiary must consent to any policy assignment.
   B. Because the insurer is a party to the assignment, the CSR should ask the reason for the assignment when processing an assignment.
   C. Under a collateral assignment, the policyowner irrevocably transfers all ownership rights under a life insurance policy to another person or entity.

   (1) A, B, and C
   (2) A and B only
   (3) B and C only
   (4) A only
   (5) C only

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Learning Objective: Describe the steps CSRs follow to process complex insurance transactions such as policy conversions, dividend payments, policy loans, policy terminations, policy reinstatements.

5. Alice Star and her spouse were covered for eight years under a group term life insurance policy owned by her employer, the Vector Company. The policy contained a typical conversion provision. Vector terminated the policy and ceased to offer group life insurance to its employees. Ms. Star, who had $75,000 of term life coverage under Vector's plan, became eligible to exercise the policy's conversion provision. Ms. Star did not become eligible for any other group life insurance coverage after Vector terminated the plan. The following statements are about the conversion provision in this situation. Select the answer choice containing the correct statement.

   (1) The conversion provision in Vector's group policy applies to Ms. Star only and is not extended to her spouse.
   (2) Ms. Star will not have to provide evidence of insurability if she exercises her conversion right within 31 days after becoming ineligible for group coverage under Vector's group policy.
   (3) If Ms. Star chooses to exercise the conversion provision, then Vector's insurer must offer her an individual policy at the same premium that it charges for Vector's group coverage.
   (4) Ms. Star can obtain $75,000 of individual life insurance coverage from Vector's insurer under the terms of the conversion provision.

6. Cash value life insurance policies typically allow the policyowner to obtain a policy loan. The signature of a revocable beneficiary typically (**is / is not**) required for the policyowner to obtain such a loan. A policyowner (**is / is not**) legally obligated to pay back a policy loan within a specified time period.

   (1) is / is
   (2) is / is not
   (3) is not / is
   (4) is not / is not

7. The following statements are about the reinstatement process for individual life insurance policies. Select the answer choice containing the correct statement.

   (1) Most insurers allow the reinstatement of policies that have been continued under the extended term or reduced paid-up insurance nonforfeiture options.
   (2) If a policyowner applies for reinstatement, most insurers do not require the insured to present evidence of insurability.
   (3) The payment of premiums owed on the policy is not required for most reinstatements.
   (4) Before reinstating a policy, an insurer generally calculates a new premium payment based on new underwriting.

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Learning Objective: Describe the processes CSRs follow to administer variable life insurance policies.

8. An insurer's CSRs may perform transactions for variable life insurance products that they might not encounter for other forms of cash value life insurance. One example of a request that CSRs would handle only for variable life insurance policies is a request from a policyowner to

   (1) reallocate premiums from one subaccount to another subaccount
   (2) take out a policy loan
   (3) change the policy's dividend option
   (4) collaterally assign a policy as security for a debt

Learning Objective: Explain how providing excellent customer service helps conservation.

9. The following statement(s) can correctly be made about insurers' conservation efforts related to relationships with financial professionals:

   A. Insurers have found that a primary cause of policy lapses is the lack of connection between a financial professional and a policyowner.
   B. Insurers often offer financial incentives to financial professionals who agree to take over unassigned contracts.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Distinguish between quantitative and qualitative performance measures and give examples of how insurers use these measures to evaluate their policyowner services.

10. An insurer generally uses both quantitative performance measurements and qualitative performance measurements as part of its quality control process for the customer service function. One example of a *qualitative* performance measurement is

    (1) a customer survey consisting of structured questions
    (2) the percentage of inbound customer contacts answered within a specified time frame
    (3) the time necessary for a CSR to process a life insurance policy loan
    (4) a supervisor's evaluation of a CSR's level of courtesy and clarity of communication

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Eleven

Learning Objective: Explain the importance of an insurer's claim philosophy in guiding its claim practices and describe the steps in the claim evaluation process.

1. An insurer's claim philosophy is a statement of the insurer's objectives for administering claims and is the foundation for the insurer's claim practices, which are statements that guide the day-to-day handling of claims. The following statements are about an insurer's claim philosophy and an insurer's claim practices. Select the answer choice that *best* represents an insurer's *claim philosophy.*

   (1) Process claims as quickly as possible and notify claimants if additional time is needed to make a decision.
   (2) Obtain medical and legal advice when needed to make a decision on a claim.
   (3) Act promptly, equitably, and courteously in paying all eligible claims and denying all ineligible claims.
   (4) Apply the provisions of insurance policies accurately and consistently.

2. During the initial stages of the claim administration process, a claim analyst may determine that a claim is not valid, and the claim administration process ends. A claim analyst would correctly conclude that the claim is not valid in all of the following situations **EXCEPT** for one where the claim analyst determines that the

   (1) insurer never received the initial premium payment for the policy
   (2) policy is in the contestable period
   (3) person who died is not the insured named in the policy
   (4) the insured died from a cause that is excluded from coverage by the contract

Learning Objective: Describe the typical staffing, organization, and authorization levels of a claim function.

3. At the Gallant Insurance Company, life insurance claims are distributed to claim analysts according to the geographic origin of the policy. The analyst assigned to a claim is then responsible for completing all of the activities involved in administering the claim. Claim analysts sometimes need to consult with Gallant's underwriters about claims. The following statement(s) can correctly be made about the organization of Gallant's claim administration department and its relationship with the underwriting area:

   A. Gallant most likely uses a case assignment system to distribute claims to claim analysts.
   B. Claim analysts are most likely to need to consult with Gallant's underwriters when the analyst suspects misrepresentation or fraud in a life insurance claim.

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

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Learning Objective: Give examples of the methods insurers use to improve the efficiency of their claim administration processes.

4. Some insurers and third party administrators (TPAs) are implementing express claim processing systems that reduce the cost and turnaround time for processing claims. In the United States, most companies that offer express claim processing limit its use to life insurance policies that fit certain criteria. One policy that generally would **NOT** qualify for express claim processing is a life insurance policy for which the

   (1) amount of the death benefit is below $50,000
   (2) beneficiary filed a claim one month after the date of the insured's death
   (3) beneficiary filed a claim one month after the policyowner changed the beneficiary designation
   (4) policy has been in force for five years

Learning Objective: Describe the legal requirements insurers must satisfy when evaluating insurance claims and the penalties courts can impose if an insurer fails to meet these requirements.

5. After investigating a claim for benefits on a $100,000 life insurance policy, the Passport Insurance Company denied the claim and returned the premiums paid. Marla Crenshaw, the policy beneficiary, filed a lawsuit, and a court determined that Passport improperly denied the claim. The court found that Passport's conduct met the jurisdiction's standards for behavior that was so egregious as to warrant additional damages. The court, therefore, awarded Ms. Crenshaw the $100,000 policy benefit and an additional $400,000 that was intended to punish Passport and to deter other insurers from similar conduct. The damages the court required Passport to pay Ms. Crenshaw included

   (1) $100,000 in punitive damages and $400,000 in compensatory damages
   (2) $100,000 in compensatory damages and $400,000 in punitive damages
   (3) $500,000 in punitive damages
   (4) $500,000 in compensatory damages

Learning Objective: Describe the activities that qualify as unfair claim practices under the NAIC Unfair Claims Settlement Practices Act and the Unfair Life, Accident, and Health Claims Settlement Practices Model Regulation.

6. The NAIC Unfair Claims Settlement Practices Act lists a number of actions that are considered unfair if committed by an insurer (1) in conscious disregard of the law or (2) so frequently as to indicate a general business practice. Actions that would be considered unfair in such circumstances include

   - **Action A**—Refusing to pay claims without conducting a reasonable investigation
   - **Action B**—Making claims payments to an insured or beneficiary without indicating the coverage under which each payment is being made

   (1) both Action A and Action B
   (2) Action A only
   (3) Action B only
   (4) neither Action A nor Action B

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7. For this question, select the answer choice containing the terms that correctly complete the blanks labeled **A** and **B** in the paragraph below.

   The NAIC Unfair Life, Accident and Health Claims Settlement Practices Model Regulation specifies the minimum standards that insurers must meet in handling life and health insurance claims. For example, an insurer must begin any necessary investigation of a claim within **A** days of receiving proof of loss from a claimant. Also, an insurer has **B** days to pay a claim after determining the insurer is liable for the claim.

	A	B
(1)	15	15
(2)	15	30
(3)	30	15
(4)	30	30

Learning Objective: Describe the requirements insurers in many states must meet related to unclaimed benefits.

8. Most United States insurers use the Social Security Death Master File (DMF) in the claim administration process. Purposes for which most insurers use the DMF include

   A. Verifying a death on a claim that has been submitted
   B. Searching proactively to see if one of its insureds is listed in the DMF, even if the insurer has not received a claim

   (1) Both A and B
   (2) A only
   (3) B only
   (4) Neither A nor B

Learning Objective: Identify legal issues associated with customer privacy that affect claim administration.

9. For this question, if answer choices (1) through (3) are all correct, select answer choice (4). Otherwise, select the one correct answer choice.

   The NAIC's Model Privacy Act generally prohibits the use of pretext interviews in connection with insurance transactions. However, a claim analyst can, within stated limits, conduct a pretext interview in certain situations. Reasons that may justify the use of a pretext interview under the model act include

   (1) that the claim analyst needs personal information about the insured that is not publicly available
   (2) that the claim analyst has a reasonable basis to suspect claim fraud
   (3) that the policy's contestable period has expired
   (4) all of the above

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Learning Objective: Identify the warning signs of a fraudulent claim and describe the steps insurers are required to take to prevent claim fraud.

10. A claim analyst must be aware of the characteristics of legitimate claims and must recognize details on a claim that may indicate the presence of possible insurance claim fraud. Consider the following situations:

    - **Situation A**—The insured filed a claim while his coverage was in the contestable period.
    - **Situation B**—The claimant provided a post office box instead of a street address.
    - **Situation C**—The coverage seems excessive for the risk.
    - **Situation D**—The claim form submitted is an original rather than a photocopy.

    Situations that generally require additional investigation include all of the of these situations **EXCEPT** for

    (1) Situation A
    (2) Situation B
    (3) Situation C
    (4) Situation D

Learning Objective: Describe how the quality of claim administration is measured internally and externally.

11. The Sentifor Insurance Company, a United States insurer, underwent a market conduct examination. The market conduct examination most likely focused on Sentifor's (**financial / nonfinancial**) operations and was carried out by (**Sentifor employees / state insurance examiners**).

    (1) financial / Sentifor employees
    (2) financial / state insurance examiners
    (3) nonfinancial / Sentifor employees
    (4) nonfinancial / state insurance examiners

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LEARNING OBJECTIVES & PRACTICE QUESTIONS

Chapter Twelve

Learning Objective: Describe the claim administration process for evaluating whether life insurance coverage was in force at the time of death and whether the deceased is the insured.

1. The first step in the claim administration process is to verify that the coverage was in force when the insured died. If the insured dies during the policy's grace period, and the premium was not paid at the time of the insured's death, insurers typically would determine that the policy (**was / was not**) in force. If a policyowner has initiated a reinstatement, but the insured dies before the insurer receives the required premium payment, then insurers typically would determine that the policy (**was / was not**) in force at the time of the insured's death.

   (1) was / was
   (2) was / was not
   (3) was not / was
   (4) was not / was not

Learning Objective: Identify the typical proofs of death for a life insurance claim and describe the situations that may complicate the process for verifying that a death has occurred.

2. Saida Ahmed, the policyowner-insured of a $200,000 life insurance policy issued by the Banner Insurance Company, did not return home after leaving work. Three days later, the police located her car but could find no trace of her. There was no evidence indicating the cause for her disappearance. After the required seven-year waiting period, the beneficiary of Ms. Ahmed's policy obtained a presumptive death certificate from a court and filed a claim for the policy proceeds. The following statement(s) can correctly be made about this situation:

   A. The claim analyst must verify that Banner received renewal premiums during the seven-year waiting period because benefits are payable only if the policy was kept in force during that period.
   B. The claim analyst will calculate the policy proceeds based on the date of the insured's disappearance.
   C. If Banner pays less than the full amount of benefits in a compromise settlement and Ms. Ahmed later reappears, Banner has no right to recover the proceeds paid.

   (1) A, B, and C
   (2) A and C only
   (3) B and C only
   (4) A only

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Learning Objective: Explain how policy exclusions and a change of health statement may affect the coverage under an individual life insurance policy.

3. Gael Acoca, a resident of the United States, was the policyowner-insured of a life insurance policy issued by the Pageant Insurance Company. Mr. Acoca's policy included a two-year suicide exclusion period and a two-year contestable period. Three years after the policy was issued, the policy lapsed for nonpayment of the monthly premium. Eight months after lapse, Pageant reinstated the policy. Six months later, Mr. Acoca died as a result of verified suicide. Upon receipt of a claim for policy proceeds, Pageant most likely would pay

   (1) no benefits of any kind
   (2) the policy's cash value only
   (3) a return of the premiums paid only
   (4) the full policy benefit

Learning Objective: Explain how claim analysts determine the proper payee for life insurance policy proceeds and describe situations that can complicate the payment process.

4. Malika Nelms purchased an insurance policy on her life and named her father as the irrevocable primary beneficiary and her sister as the contingent beneficiary. Five years later, Malika married and attempted to change the primary beneficiary designation from her father to her husband. Malika's father did not consent to the change and did not sign the beneficiary change form. When Malika died, the policy was still in force, and she was survived by her father, her sister, and her husband. In this situation, a claim analyst would correctly determine that the policy proceeds are payable to Malika's

   (1) father
   (2) sister
   (3) husband
   (4) estate

5. Kyle McCann, the policyowner-insured of a $500,000 whole life insurance policy, assigned some of the ownership rights of his policy to the Mission Bank to provide security for a $150,000 loan. Mission notified the insurer of the assignment. When Mr. McCann died, there was an outstanding balance on the loan of $75,000. Mission filed a claim for policy benefits under Mr. McCann's policy. Select the response that correctly identifies the type of assignment Mr. McCann made and the amount of the policy benefits payable to Mission.

	Type of assignment	Amount payable to Mission
(1)	absolute assignment	$75,000
(2)	absolute assignment	$500,000
(3)	collateral assignment	$75,000
(4)	collateral assignment	$150,000

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6. Travis Cobb was the policyowner-insured of a life insurance policy that designated his wife, Rebecca, as the primary beneficiary, and their son, Andrew, as the contingent beneficiary. Ten years after the policy was issued, and while the policy was still in force, Travis was killed, and Rebecca was accused of his murder. Rebecca was found "not guilty" in a criminal trial, but was found to have intentionally and wrongfully caused Travis' death in a civil court. With regard to the payment of the policy proceeds in this situation, it most likely is correct to say that the insurer would pay

   (1) no benefits for this policy
   (2) the entire policy proceeds to Rebecca
   (3) the entire policy proceeds to Andrew
   (4) an amount equal to the premiums paid, with interest, to Travis' estate

7. Alvin Skinner was the policyowner-insured of a life insurance policy that named his wife, Phoebe, as the primary beneficiary and his mother, Ginger, as the contingent beneficiary. While the policy was in force, Alvin and Phoebe died in an automobile accident, and it was impossible to determine which of them died first. According to the simultaneous death act in most jurisdictions in the United States, the proceeds of Alvin's policy were payable to

   (1) Ginger
   (2) Phoebe's estate
   (3) Alvin's estate
   (4) Phoebe's estate and Ginger, in equal shares

Learning Objective: Calculate the amount of the policy proceeds payable for a given life insurance policy.

8. Joel Hoddeson applied for a fixed-premium $250,000 life insurance policy from the Metropolis Insurance Company. He stated his age on the application as 34 when, in fact, he was age 43. Metropolis issued the policy as applied for, but the misstatement of age resulted in an incorrect premium amount. The policy was in force when Mr. Hoddeson died seven years later. While processing the claim, a claim analyst discovered the misstatement of age on the application for coverage. In this situation, Metropolis most likely will pay the beneficiary

   (1) nothing
   (2) a return of the premiums paid only
   (3) a basic death benefit of less than $250,000, reflecting the amount of benefits that the premiums paid would have purchased at Mr. Hoddeson's correct age
   (4) a basic death benefit of greater than $250,000, reflecting the amount of benefits that the premiums paid would have purchased at Mr. Hoddeson's correct age

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9. Before paying the policy proceeds, a claim analyst may need to calculate additions to and deductions from the basic policy death benefit. The following information applies to a life insurance claim:

   - Face amount of the policy = $300,000
   - Policy dividends declared but not yet paid = $300
   - Unpaid policy loan = $6,000
   - Unpaid interest on policy loan = $200
   - Unpaid premium = $100

   When the insured died, the policy was in its grace period, and the claim analyst determined that the claim was payable. This information indicates that the amount of policy proceeds payable on this claim most likely is

   (1) $293,700
   (2) $294,000
   (3) $294,100
   (4) $294,200

   Learning Objective: Describe the various settlement options available to policyowners and beneficiaries.

10. In addition to lump-sum settlements, insurers provide alternative methods, known as settlement options, to distribute the policy proceeds at an insured's death. Under the life income option, the insurer

    (1) pays equal installments of a stated amount until the policy proceeds, plus the interest earned, are exhausted
    (2) pays the policy proceeds in equal installments to the payee for a specified period of time
    (3) invests the policy proceeds and periodically pays interest on those proceeds
    (4) pays the policy proceeds in periodic installments over the payee's lifetime

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Learning Objective: Describe how claim analysts evaluate claims for supplemental benefits such as waiver of premium for disability benefits, accidental death benefits, family benefits, and accelerated death benefits.

11. A claim analyst examined the following life insurance claims to determine whether both the basic death benefit and the accidental death benefit (ADB) are payable for each policy:

    - Seven years after his policy was issued, Martin Shire died at the age of 54 when he appeared to have a heart attack that resulted in an automobile accident. A claim analyst examined an autopsy report and determined that the immediate cause of death was the heart attack.
    - Twelve years after her policy was issued, Julia Oha was swimming in a lake when she was struck by a motorboat. Although she did not drown, she inhaled a large quantity of water, which caused her to develop pneumonia and to die two weeks later at the age of 38. A subsequent investigation revealed that Ms. Oha's death resulted from the motorboat accident and was independent of any other cause.

    In both cases, the claim analyst determined that the basic death benefit was payable. Select the response that correctly indicates whether the insurer most likely will pay the ADB to the beneficiaries of each of these policies.

	Mr. Shire's beneficiary?	Ms. Oha's beneficiary?
(1)	yes	yes
(2)	yes	no
(3)	no	yes
(4)	no	no

12. The following statements are about commonly offered accelerated death benefits. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

    (1) Payment of accelerated death benefits does not affect the benefit payable to the policy beneficiary at the insured's death.
    (2) For chronic illness or a condition requiring long-term care, insurers usually pay monthly benefits equal to a stated percentage of the policy's death benefit.
    (3) For terminal illness, some insurers allow payment of the full face amount of a policy prior to the insured's death.
    (4) Most long-term care (LTC) benefits impose a 90-day waiting period before accelerated death benefits are payable.

Learning Objective: Describe the steps a reinsurer takes to examine, approve, and settle a request from a direct writer for claim payment reimbursement.

13. A reinsurance agreement may include the right of recommendation. The right of recommendation is correctly defined as the right of the

    (1) direct writer to determine whether claims are payable and to identify claims that can be recovered from the reinsurer
    (2) direct writer to subtract the claim amount owed to it by a reinsurer from the amount that the direct writer owes the reinsurer for premiums
    (3) reinsurer to review a claim and offer its opinion to the direct writer on whether to pay the claim
    (4) reinsurer to receive payment from a retrocessionaire for the retrocessionaire's portion of the claim

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Learning Objective: Provide examples of situations in which insurers generally deny payment of benefits.

14. Although insurers pay the majority of claims filed for life insurance benefits, they are sometimes obligated to deny payment. Insurers would generally deny a claim in all of the situations **EXCEPT** for a situation in which the

    (1) insured died as a result of a condition that was specifically excluded by the policy
    (2) claimant was unable to provide acceptable proof of the insured's death
    (3) claim analyst has reason to suspect that the claim is fraudulent
    (4) insured died after the policy's contestable period had expired

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Sample Examination

Learning Objectives for the Sample Examination Questions

Learning objectives for the Sample Examination questions appear only in the interactive version of the Sample Examination, which is available in the Course Portal under Exam Prep. The learning objective associated with each question appears in the answer explanation for the question's correct response. Additional information on how to use learning objectives to guide your study and preparation for the exam appears in "Study Tips," which can be accessed in the Course Portal under Exam Prep.

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This examination contains 60 objective questions. Each question is valued at 1.667 points.

1. Regulators in most jurisdictions specify the types of groups that are eligible for group life insurance coverage. The most common type of group covered by group life insurance plans is the

   (1) single-employer group
   (2) multiple-employer group
   (3) affinity group
   (4) debtor-creditor group

2. One type of reinsurance report shows details for all policies that, during the reporting period, have changed in a way that affects the amount of the reinsurance coverage, the reinsurance premium, or the allowance. This type of reinsurance report is known, by definition, as

   (1) a notice of expiry
   (2) an in-force policy report
   (3) a policy change report
   (4) a reserve listing

3. The Sandbar Company recently contacted Aliza Shaheen, a group insurance representative, about obtaining group insurance coverage for Sandbar. Ms. Shaheen completed a request for proposal (RFP), which contained Attachment A. This attachment listed demographic information about Sandbar as a unit and about individual members within the group. Attachment A is best described as

   (1) a census
   (2) a benefit schedule
   (3) an underwriting worksheet
   (4) an enrollment card

4. When a proposed insured who owns a business wishes to purchase a considerable amount of individual life insurance, an underwriter usually requests financial statements to determine the financial stability of the business. One of these financial statements reports the business's revenues and expenses during a specified accounting period and indicates whether the business experienced a positive net income (profit) or a negative net income (loss) during that accounting period. This financial statement is known, by definition, as

   (1) a statement of owners' equity
   (2) a cash flow statement
   (3) a balance sheet
   (4) an income statement

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5. Underwriters at the Gamma Life Insurance Company assign proposed insureds to four risk classes—preferred, standard, substandard, and declined. The following answer choices describe four proposed insureds from whom Gamma has received an application for life insurance. Select the answer choice that best describes the proposed insured who would be assigned to the *substandard* risk class.

   (1) Adam Bailey's anticipated mortality risk is lower than average, and Mr. Bailey presents the lowest degree of mortality risk to Gamma.
   (2) Chandra Phipps has an anticipated mortality risk that is average.
   (3) Felipe Ramirez has an anticipated mortality risk that is higher than average, but Gamma still considers Mr. Ramirez to be insurable at a higher-than-average premium rate.
   (4) Debbie Gaynor's anticipated mortality risk is so great that Gamma cannot provide insurance at an affordable cost.

6. For this question, select the answer choice containing the terms that most appropriately complete blanks **A** and **B** in the paragraph below.

   Parasol has an automatic reinsurance agreement with the Elm Reinsurance Company. Under the terms of the agreement, the maximum monetary amount of insurance per life that the Parasol Insurance Company will carry at its own risk on whole life insurance cases is $200,000. Parasol must cede to Elm Re any whole life insurance cases with a face amount that exceeds $200,000 and that Parasol has underwritten and rated as preferred or standard risks. Elm Re accepts these risks up to $500,000 without making an independent underwriting assessment. In this situation, $200,000 represents Parasol's **A**, and $500,000 represents Elm Re's **B**.

	A	**B**
(1)	retention limit	jumbo limit
(2)	retention limit	automatic binding limit
(3)	automatic binding limit	jumbo limit
(4)	automatic binding limit	retention limit

7. The following statements are about customer experience management (CEM). Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

   (1) CEM helps an insurer concentrate on understanding customers and maximizing customer experiences.
   (2) CEM involves modifying internal processes and procedures with the insurance company employee in mind.
   (3) Effective CEM builds customer loyalty and differentiates an insurer from its competitors.
   (4) CEM allows an organization to manage all aspects of its interactions with current and potential customers by coordinating customer experience initiatives across business units.

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8. Some insurers divide customer service activities by product, territory, distribution system, customer, or some other factor. Consider the following insurers:

   - The Azalea Insurance Group, a multinational insurer, has established separate customer contact centers in each country where it does business to more effectively address differences in language, culture, products, and regulations.
   - The Dogwood Insurance Company assigns one group of customer service representatives (CSRs) to provide service on policies sold through financial professionals and another group of CSRs to provide service on policies sold through direct-to-consumer sales.

   Select the response that *best* describes the methods Azalea and Dogwood use to organize their customer service activities.

	Azalea	Dogwood
(1)	by territory	by product
(2)	by territory	by distribution system
(3)	by customer	by type of service request
(4)	by customer	by distribution system

9. The Arrowhead Insurance Company conducts business in State A, which has enacted laws based on the National Association of Insurance Commissioners (NAIC) Unfair Life, Accident and Health Claims Settlement Practices Model Regulation. Under this Model Regulation, Arrowhead has a maximum of 30 days to

   (1) provide claim forms after receiving notification of a claim
   (2) begin any necessary investigation of a claim after receiving proof of loss
   (3) pay a claim after determining that it is liable to pay the claim
   (4) send the claimant a written notice of denial of a claim after determining that it is not liable to pay the claim

10. Of the functions listed below, those performed primarily by an insurer's actuarial functional area include

    A. Facilitating the exchange process between buyers and sellers
    B. Determining legal reserve liabilities
    C. Calculating premium rates for insurance products
    D. Managing cash as it flows through the company

    (1) A, B, C, and D
    (2) A and B only
    (3) B and C only
    (4) C and D only

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Use the following information to answer questions 11 and 12.

An underwriter at the Celestial Insurance Company evaluated an application and medical report on Ethan Schuman, a 50-year-old proposed insured, using the numerical rating system to calculate the numerical value for the degree of risk Mr. Schuman presents. The underwriter used the score of 100 to represent the average, or standard, mortality risk. The underwriter assigned the following values to Mr. Schuman:

- Credit 10 for good family history
- Credit 20 for nonsmoker
- Debit 20 for elevated blood pressure
- Debit 50 for obesity

The underwriter determined that Mr. Schuman presents a substandard risk. Celestial compensated for his extra mortality by charging a premium rate that was based on one of the following methods: a table rating, a permanent flat extra premium, a temporary flat extra premium, or a combination of a table rating and a flat extra premium. The method Celestial used to charge Mr. Schuman depended upon whether the mortality risk of a given medical or personal factor is assumed to increase with age, remain constant, or decrease with age.

11. With regard to the numerical rating system and this situation, it most likely is correct to say that the Celestial underwriter assigned Mr. Schuman a total numerical rating of

    (1) 60
    (2) 140
    (3) 150
    (4) 200

12. Celestial considers Mr. Schuman's elevated blood pressure and obesity to be medical factors for which extra mortality risk increases with age. This information indicates that Celestial compensated for Mr. Schuman's extra mortality by charging a premium rate that most likely was based on

    (1) the table rating method
    (2) the permanent flat extra premium method
    (3) the temporary flat extra premium method
    (4) a combination of a table rating and a flat extra premium

• • • • • •

13. An underwriter is concerned about the possibility of moral hazard in a particular life insurance case. This information indicates that the

    (1) reputation, financial position, or criminal record of the applicant or proposed insured indicates that the person may act dishonestly in the insurance transaction
    (2) proposed insured may be much more likely to suffer a physical impairment because the person is over the age of 70
    (3) proposed insured believes he has a serious illness; therefore, he is much more likely to purchase insurance than a person who is in good health
    (4) proposed insured has applied for a lower amount of life insurance than the potential financial loss that the beneficiary will suffer if the proposed insured were to die

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14. Catastrophe coverage (cat cover) is one type of nonproportional reinsurance. One correct statement about cat cover is that it typically

    (1) cannot be applied to life insurance coverage
    (2) does not apply in situations involving natural disasters such as earthquakes
    (3) specifies precisely the share of a risk the reinsurer will ultimately assume in advance of the catastrophe
    (4) requires that a direct writer's monetary losses reach a specified maximum limit within a specified period at which time the reinsurer begins to share in expenses for future claims

15. Elaine Borough is the policyowner of a life insurance policy issued by the Marigold Insurance Company on the life of her husband, Samuel. The policy beneficiary is their adult daughter, Lisa. Assume that a Marigold CSR receives a telephone call from any of these parties regarding this policy. After verifying the identity of the caller, the CSR would be authorized to release policy information to and accept policy changes from

    (1) Elaine, Samuel, and Lisa
    (2) Elaine and Samuel only
    (3) Samuel and Lisa only
    (4) Elaine only
    (5) Samuel only

16. In some states in the United States, property owned between spouses can be community property or separate property. Consider the following examples that occurred during a marriage in a community property state:

    - **Example A**—One spouse acquired property during marriage with separately owned funds
    - **Example B**—One spouse purchased a life insurance policy on her life during marriage and paid the policy premiums with community property funds

    Select the response that correctly identifies whether the property acquired in Example A and Example B consists of community property or separate property.

	Example A	Example B
(1)	separate property	separate property
(2)	separate property	community property
(3)	community property	separate property
(4)	community property	community property

17. The following statements are about claim administration. Three statements are true, and one statement is false. Select the answer choice containing the **FALSE** statement.

    (1) Under a work division system for claim administration, claims are assigned to claim analysts according to the type of claim and amount of authority the analysts have.
    (2) Some insurers have implemented auto-adjudication for specified claim processing activities, such as making a decision regarding a claim and authorizing payment of benefits, without human intervention.
    (3) In general, the longer it takes an insurer to settle a claim, the lower the cost for the company.
    (4) Automated claim management systems increase a claim operation's productivity and efficiency.

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18. Two privacy laws in the United States are the federal Fair Credit Reporting Act (FCRA) and the federal Gramm-Leach-Bliley (GLB) Act. The following statements are about these two laws. Select the answer choice containing the correct statement.

    (1) According to the FCRA, insurers are not required to give a disclosure notice to the applicant and the proposed insured, informing them that the insurer may order a consumer report.
    (2) The FCRA prohibits insurers from taking an adverse action based on information contained in an applicant's consumer report.
    (3) The GLB Act requires insurers to disclose policies for obtaining and sharing customers' nonpublic personal information only at the beginning of the relationship.
    (4) The privacy provisions of the GLB Act supersede state privacy laws unless a state's laws provide for stricter protections for customer privacy than does the GLB Act.

19. Insurers can use a type of software known as a business rules engine (BRE) in the underwriting process. With regard to BREs, it is correct to say that BREs typically

    (1) are not able to identify or request missing pieces of information necessary to make an underwriting decision
    (2) can be applied to any decision-making process that can be stated in an automated "if...then" format
    (3) are used for the most difficult underwriting cases, thus freeing underwriters to handle the more routine underwriting cases
    (4) cannot consider as many variables as can an underwriter using an underwriting manual

20. Before paying a claim on an individual life insurance policy, a claim analyst must calculate the amount of the basic death benefit payable by adding together a number of items and deducting other items. One item that a claim examiner would *deduct* from the amount of the benefit payable is the amount of any

    (1) premiums due but unpaid during the policy's grace period
    (2) policy dividends declared but not yet paid
    (3) interest earned on delayed claim payments
    (4) loan interest paid in advance

21. The following statement(s) can correctly be made about teleunderwriting:

    A. An applicant typically can sign a teleunderwriting application (or tele-app) using a voice signature.
    B. Teleunderwriting usually involves the collection of medical information by the financial professional who is working with the applicant.

    (1) Both A and B
    (2) A only
    (3) B only
    (4) Neither A nor B

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22. The Coral Insurance Company and the Fin Insurance Company evaluated the performance of their call centers by using a metric to measure how many calls are answered within 30 seconds. Coral and Fin then compared their respective results to the performance standard achieved by leading companies in the insurance industry. Each company's performance goal is to exceed the industry performance standard. Consider the following information:

    - Coral's call center answered 84% of calls within 30 seconds
    - Fin's call center answered 75% of calls within 30 seconds
    - The industry performance standard is 80% of calls answered within 30 seconds

    The following statements are about this situation. Select the answer choice containing the correct statement.

    (1) To be effective, the metric Coral and Fin used must align with their objectives and provide information that managers can use to make decisions.
    (2) The metric Coral and Fin used to measure the performance of their call centers is a type of qualitative performance measurement.
    (3) The industry performance standard Coral and Fin used as a goal for their call center performance is known as a scorecard.
    (4) According to the results, Coral did not meet its performance goal while Fin exceeded its performance goal.

23. The following statements are about policyowner requests for reinstatement of an existing life insurance policy. Select the answer choice containing the correct statement.

    (1) Insurers generally do not allow reinstatement if a policyowner has surrendered the policy for its net cash surrender value.
    (2) Most contracts do not require policyowners requesting reinstatement of a lapsed policy to present evidence of insurability.
    (3) In a reinstatement, an insurer issues a new policy to the policyowner rather than putting back in force an existing policy.
    (4) To complete a reinstatement, the policyowner pays any premiums owed on the policy through a process known as redating.

24. Some states have enacted laws based on the NAIC Insurance Fraud Prevention Model Act. The following statement(s) can correctly be made about laws based on this Model Act:

    A. In most states, if an insurance employee knows, or reasonably believes, that fraud has occurred, he is required to report that knowledge to the appropriate authorities.
    B. To encourage people to report suspected fraud, most states protect from civil liability anyone who in good faith reports possible insurance fraud.

    (1) Both A and B
    (2) A only
    (3) B only
    (4) Neither A nor B

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25. When Tatyana Petrov applied to the Origami Insurance Company for a $200,000 whole life insurance policy, she mistakenly stated that her age was 54, when her correct age was 45. Origami issued the policy as applied for. Ms. Petrov died three years later, and an Origami claim analyst discovered the error while processing the beneficiary's life insurance claim. If Origami follows general industry practice in this situation, Origami most likely will approve payment of

    (1) the amount of the policy's cash value
    (2) the policy's stated face amount of $200,000
    (3) a death benefit amount that is less than $200,000, reflecting the amount of insurance the premiums paid would have purchased if Ms. Petrov's age had been stated correctly
    (4) a death benefit amount that is greater than $200,000, reflecting the amount of insurance the premiums paid would have purchased if Ms. Petrov's age had been stated correctly

26. To help with risk assessment, underwriters at the Ambrosia Insurance Company use a type of data analytics that collects information from prescription drug databases. Underwriters can examine the information collected to make decisions about applicants' impairments and treatments. This type of data analytics helps users to decide the best course of action given a variety of options, alternatives, and factors that might affect the outcome. In this situation, Ambrosia underwriters are using the type of data analytics *best* known as

    (1) real-time data analytics
    (2) predictive analytics
    (3) descriptive analytics
    (4) prescriptive analytics

27. During the application process, a financial professional helped Dozier Smith complete a form that contained Mr. Smith's answers to general medical history questions. Mr. Smith was not required to undergo a physical examination. All disclosures about Mr. Smith's medical history in this form became part of the insurance contract. In this situation, Mr. Smith completed a form known as

    (1) a paramedical report
    (2) a nonmedical supplement
    (3) a medical report
    (4) an agent's statement

28. The Cerulean Insurance Company used an internet-based system to analyze payment history data and claims experience data on all of its covered insureds. Cerulean's system analyzed this data to discover any previously unknown trends, patterns, and relationships. As a result, the system revealed a potentially profitable segment of people whom Cerulean could then target for marketing. By definition, Cerulean's system analyzed data through

    (1) a knowledge management system
    (2) straight-through processing (STP)
    (3) data mining
    (4) data governance

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29. The sources of medical information used to evaluate an individual life insurance risk include MIB Group, Inc. (MIB) reports, attending physician's statements (APSs), personal history interviews (PHIs), and medical tests. The following statements are about these sources of information. Select the answer choice containing the correct statement.

    (1) Information obtained from MIB cannot be used as the sole basis for an adverse underwriting decision.
    (2) An APS reports the results of a physical examination conducted by a physician who has never treated the proposed insured and who is selected by the insurer.
    (3) Generally, a PHI involves a physical examination of the proposed insured by a medical practitioner.
    (4) One drawback of a urinalysis test is that it cannot be used to screen a proposed insured who claims to be a nonsmoker for byproducts of nicotine.

30. The following information describes the characteristics of four claims submitted to the Carousel Insurance Company:

    - For Claim A, the claimant provides a post office box instead of a street address
    - For Claim B, the insurance coverage seems excessive for the risk
    - For Claim C, white-outs and erasures suggest that the claim form has been altered
    - For Claim D, the contestable period of the life insurance policy has expired

    Based on the above information, all of the above claims contain warning signs of a fraudulent claim **EXCEPT** for

    (1) Claim A
    (2) Claim B
    (3) Claim C
    (4) Claim D

31. The following statements are about situations involving the disappearance of the insured. Select the answer choice containing the correct statement.

    (1) If a missing insured was exposed to a specific peril, a court may issue a presumptive death certificate, but can only do so after the insured has been absent from home continuously for 10 years.
    (2) If a court issues a presumptive death certificate for an insured, claim analysts generally will approve the claim for policy proceeds, regardless of whether the beneficiary continued paying required premiums after the insured disappeared.
    (3) If an insured reappears after the insurer has paid the beneficiary less than the full amount of benefits in a compromise settlement, the insurer has the right to recover the benefits paid to the beneficiary in the compromise settlement.
    (4) If an insured reappears after having been declared dead by a court and after the insurer has paid the beneficiary the policy proceeds in full, the insurer usually has the right to recover those proceeds.

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32. The Nova Insurance Company bases an underwriter's authority level on two criteria: (1) the maximum coverage amount that the underwriter can approve and (2) the degree to which the underwriter may rate or decline a policy without approval or review by a more experienced underwriter. Nova received the following whole life insurance applications:

Name and Age	Amount Applied For	Beneficiary Designation	Health Problems Listed on Application
Miriam Kaplan, 40	$500,000	spouse	pneumonia in 2014; skin cancer in 2017
Issure Chen, 31	$75,000	mother	none

Each proposed insured is within the normal ranges for height and weight, has an acceptable occupation, and has answered all questions on the application. Nova's records do not contain adverse underwriting information on either of these proposed insureds. If the authority level of Nova's underwriters is typical of most underwriters, it most likely is correct to say that one of Nova's *junior* underwriters with one year of experience or more at this junior level would be authorized to approve coverage for

(1) both Ms. Kaplan and Ms. Chen
(2) Ms. Kaplan only
(3) Ms. Chen only
(4) neither Ms. Kaplan nor Ms. Chen

33. The paragraph below contains two pairs of terms enclosed in parentheses. Determine which term in each pair correctly completes the paragraph. Then select the answer choice containing the two terms you have chosen.

Under a contributory group life insurance plan, insured group members (**are / are not**) required to pay part or all of the premiums for their coverage. Generally, minimum participation levels are (**higher / lower**) for contributory plans than for noncontributory plans.

(1) are / higher
(2) are / lower
(3) are not / higher
(4) are not / lower

34. The following statements are about the consideration of age and build in life insurance underwriting. Select the answer choice containing the correct statement.

(1) Most insurers do not establish a maximum age limit for proposed insureds who are seeking coverage under whole life insurance or term life insurance.
(2) Proposed insureds who are 15 to 39 years of age are more likely to die from an impairment than from accident or injury.
(3) Instead of build charts, many underwriters use body mass index (BMI) results to determine risk classes.
(4) Underwriters typically ignore any substantial or rapid gains or losses in a proposed insured's weight, because such gains or losses in weight do not indicate potential medical impairments.

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35. Kaoru Omiya, a resident of the United States, surrendered his $300,000 whole life insurance policy when he was 55 years old. At the time of surrender, he received the cash surrender value of $10,000, and he had paid $7,500 in premiums. There were no accumulated dividends and no outstanding policy loans. Select the response that correctly identifies the cost basis of this policy and the amount, if any, considered to be a gain that was taxable as ordinary income to Mr. Omiya.

	Cost basis	Taxable gain
(1)	$2,500	$7,500
(2)	$7,500	$0
(3)	$7,500	$2,500
(4)	$10,000	$2,500

36. The Trillium Insurance Company divides its customer service department into six separate work teams, each consisting of five customer service representatives (CSRs). Each team has a manager who performs all of the management tasks, such as organizing, planning, monitoring, and controlling the work. Other team members concentrate solely on performing the business functions for which the team is responsible. This information indicates that Trillium divides its customer service department into the types of work teams known as

    (1) semi-autonomous teams
    (2) traditional teams
    (3) self-managed teams
    (4) self-directed teams

37. The following statements are about policy loans made on individual cash value life insurance policies. Select the answer choice containing the correct statement.

    (1) Policyowners must repay their policy loans using the coupon plan or an automatic deduction plan.
    (2) Policy loans differ from traditional loans in that policy loans do not accumulate interest.
    (3) Policy loans are considered a cash advance of the policy proceeds the policyowner is entitled to receive under the terms of the contract.
    (4) A policyowner typically can obtain a policy loan on a policy that has been assigned without obtaining the written approval of the assignee.

38. In the United States, with regard to life insurance claims involving suicide, it is correct to say that, if a proposed insured commits suicide

    (1) after the reinstatement of a lapsed policy, the insurer will rely on the suicide exclusion period specified in the original policy to determine whether benefits are payable
    (2) during the underwriting process, the insurer typically pays nothing as there is no effective coverage under any premium receipt
    (3) during the suicide exclusion period, the insurer typically will rescind the coverage and refund any premiums paid
    (4) after the end of the suicide exclusion period, the insurer returns any premiums paid, but does not pay full policy benefits

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39. One financial ratio that underwriters can use when evaluating the solvency of a business is the debt-to-equity ratio. With regard to a company's debt-to-equity ratio, it is correct to say that

    (1) the desired value of a solvent company's debt-to-equity ratio should be less than 1
    (2) it indicates the ease with which an asset can be converted to cash for an approximation of its true value
    (3) it can be calculated by dividing a company's net income by its owners' equity
    (4) it measures the overall degree of success a company has in generating positive returns for its owners

40. The following statements describe changes in beneficiary designations received by the Stellar Life Insurance Company. All change requests specified the new beneficiary's address, social insurance or Social Security number, and date of birth, and all were signed and dated by the policyowner. Select the answer choice correctly describing a change in beneficiary designation that Stellar's CSRs most likely would process without seeking additional information.

    (1) Graham Spader requested that the beneficiary designation in his policy be changed to "my sisters, L. Spader and P. Wilkens."
    (2) Harriet Nichols requested that the beneficiary designation in her policy be changed to "my parents, Charles and Sandy Turner."
    (3) Todd Porter requested that the beneficiary designation in his policy be changed to "Peter Faulk, trustee of the Porter Family Trust."
    (4) Kim Taylor requested that the beneficiary designation in her policy be changed to "James Janow."

41. The following statement(s) can correctly be made about a proposed insured's life insurance needs:

    A. Underwriters generally approve life insurance coverage for family income protection if the applicant clearly demonstrates that the amount requested to support the surviving family members is justified.
    B. Underwriters usually approve life insurance coverage intended to pay expenses associated with settling an estate when evidence of the obligations to be paid is clear.
    C. Most underwriters generally do *not* approve insurance coverage if the proposed insured intends to name a charitable organization as the beneficiary in an application for life insurance, unless the proposed insured had a history of making regular contributions to the charitable organization.

    (1) A, B, and C
    (2) A and B only
    (3) A and C only
    (4) B only

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42. The Willow Corporation purchased an individual insurance policy on the life of Claire Payea, Willow's Vice President of Public Relations. Willow purchased this policy to protect itself from the significant financial loss that would occur if Ms. Payea died or became disabled while still employed by Willow. Willow owns, pays the premiums on, and is the beneficiary of this life insurance policy. With regard to business needs for individual life insurance and the different kinds of policies designed to meet those needs, it most likely is correct to say that Willow purchased a type of

    (1) employee benefit plan known as an entity agreement
    (2) employee benefit plan funded by key-person life insurance
    (3) business continuation insurance plan known as an entity agreement
    (4) business continuation insurance plan funded by key-person life insurance

43. Mallory Chung was the policyowner-insured of a $500,000 individual life insurance policy and named her sister, Amy, as the policy's irrevocable beneficiary. Mallory submitted a beneficiary change form to the insurer changing the beneficiary designation to her sister, Louise. Amy did not approve the beneficiary change by signing the form. Mallory died three years later, while the policy was still in force. Both Amy and Louise filed a claim for the policy proceeds. In this situation, the insurer most likely would pay the policy proceeds to

    (1) Amy
    (2) Louise
    (3) Amy and Louise, in equal shares
    (4) a court, so that the court can determine the proper recipient

44. Through a cession arrangement, direct writers can cede reinsurance risk on a facultative, a facultative-obligatory (fac-ob), or an automatic basis. Preplacement is the process by which a reinsurer reviews the direct writer's request for coverage, and, if the reinsurer accepts the request, it establishes appropriate records and reserves capacity for the case, and follows up on reserved capacity that has been inactive for a specified period of time. With regard to the bases for cession arrangements and preplacement, it generally is correct to say that preplacement is required for

    (1) facultative coverage, fac-ob coverage, and automatic coverage
    (2) facultative coverage and fac-ob coverage only
    (3) fac-ob coverage and automatic coverage only
    (4) automatic coverage only

45. The Prism Insurance Company issued a $400,000 multi-life insurance policy to Marisol Herrera and her husband Jose Herrera. At the time of policy issue, Marisol was 48 years old, and Jose was 55 years old. The policy specified that proceeds would be payable to the surviving spouse after the first one of them dies. With regard to types of multi-life policies and their underwriting requirements, it most likely is correct to say that the Herreras purchased a multi-life policy known as a

    (1) joint life insurance policy, and the underwriter made a separate evaluation of Marisol and Jose
    (2) joint life insurance policy, and the underwriter did not make a separate evaluation of Marisol and Jose
    (3) last survivor life insurance policy, and the underwriter made a separate evaluation of Marisol and Jose
    (4) last survivor life insurance policy, and the underwriter did not make a separate evaluation of Marisol and Jose

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46. A group underwriter for the Oro Insurance Company is using blended rating to calculate the group premium to charge the Brickstone Company's for its group life insurance plan. Brickstone is a large-sized group. The underwriter has reached the following conclusions about Brickstone:

    - The monthly premium calculated by manual rating alone is $7,000
    - The monthly premium calculated by experience rating alone is $5,000
    - The credibility factor for Brickstone is 40%

    With regard to using the blended rating method, it most likely is correct to say that the Oro underwriter will apply the 40% credibility factor to the premium amount calculated by (**manual / experience**) rating alone. The premium calculated for Brickstone's coverage using blended rating will be (**higher / lower**) than $7,000.

    (1) manual / higher
    (2) manual / lower
    (3) experience / higher
    (4) experience / lower

47. The reinsurance agreement between the Spectator Insurance Company and the Mandolin Reinsurance Company stipulates that Spectator will submit risks to Mandolin Re on a facultative basis. This information indicates that, as the reinsurer in this facultative arrangement, Mandolin Re will

    (1) accept all cases up to a stated maximum amount if Mandolin Re has available financial capacity
    (2) rely solely on Spectator's underwriting judgment in deciding whether to provide reinsurance coverage on a risk Spectator submits
    (3) provide reinsurance coverage on all life insurance policies Spectator submits that meet the specifications of the reinsurance agreement
    (4) choose whether to accept or decline each risk Spectator submits for reinsurance coverage

48. For business insurance purposes, an underwriter assessed the value of the Mosaic Company. The underwriter determined Mosaic's value by focusing on the selling prices of comparable businesses and by using established general guidelines for the valuation of businesses. This information indicates that the underwriter valued Mosaic using the business valuation approach known as the

    (1) asset-based approach
    (2) market approach
    (3) income-based approach
    (4) percentage-of-income rule

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49. Four characteristics group life insurance underwriters consider for group prospects when underwriting life insurance coverage include the following: the group's reason for existence, the group size, sex distribution, and membership turnover. With regard to these risk assessment characteristics for group life insurance, it is correct to say

    (1) that, to be eligible for group life insurance coverage, a group must have been formed for the sole purpose of purchasing insurance
    (2) that large groups are less likely than small groups to have an actual claim experience that is the same or nearly the same as the expected claims experience
    (3) that, all other factors being equal, a group that is predominantly female is likely to experience fewer claims for life insurance benefits during a given time period than is a group that is predominantly male
    (4) that groups with low turnover rates usually produce relatively low claims costs

50. For this question, if answer choices (1) through (3) are all correct, select answer choice (4). Otherwise, select the one correct answer choice.

    Using indemnity reinsurance provides a direct writer with certain benefits. Reasons for which a direct writer would buy reinsurance coverage include

    (1) decreasing the direct writer's financial capacity
    (2) increasing fluctuations in a direct writer's claim payments
    (3) obtaining the reinsurer's underwriting expertise
    (4) all of the above

51. The following statements are about personal factors that underwriters assess when evaluating proposed insureds for individual life insurance coverage. Select the answer choice containing the correct statement.

    (1) Insurers typically rate policies for proposed insureds engaged in any type of civilian aviation.
    (2) When underwriters evaluate proposed insureds who engage in potentially risky activities, they distinguish between people who pursue a risky activity, such as automobile racing, as an occupation and those who pursue the activity as an avocation.
    (3) Underwriters typically do not consider a person's driving history to be an important factor in assessing that person's mortality risk.
    (4) An insurer typically removes a rating for occupation immediately after the insured's occupation changes from a hazardous occupation to a less hazardous occupation.

52. The Fencepost Insurance Company entered into a reinsurance agreement with the Ivy Reinsurance Company. According to the agreement, the maximum amount of risk Fencepost will carry on a life insurance policy is $500,000. Fencepost sold a life insurance policy with a face amount of $2,500,000 and ceded $2,000,000 of the risk to Ivy Re. Because the maximum amount of risk Ivy Re will carry is $1,200,000, Ivy Re ceded the amount of risk over $1,200,000 to the Kudzu Reinsurance Company. With regard to this situation, it is correct to say that

    (1) Fencepost is the reinsurer
    (2) Fencepost's minimum cession is $500,000
    (3) the retrocessionaire is Kudzu Re
    (4) the amount Ivy Re ceded to Kudzu Re equals $1,200,000

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53. One type of income is current income, which includes earned income and unearned income. Income that will not continue after the insured dies—such as salary from a full- or part-time job, regular bonuses and commissions, and stock options—is considered to be (**earned / unearned**) income. Another type of income is potential income. Underwriters typically (**consider / do not consider**) potential income when determining whether the proposed amount of coverage is appropriate.

    (1) earned / consider
    (2) earned / do not consider
    (3) unearned / consider
    (4) unearned / do not consider

54. Three types of business insurance are creditor insurance, a buy-sell agreement, and a split-dollar life insurance plan. With regard to these types of business insurance, it is correct to say

    (1) that an underwriter will issue a creditor insurance policy only if it seems likely that the borrower will need to rely on the life insurance proceeds to pay off the loan
    (2) that insurers generally issue creditor insurance for short-term loans rather than long-term loans
    (3) that, when life insurance is used to fund a buy-sell agreement for a sole proprietorship, the insured is the predetermined individual who plans to buy the business upon the death of the sole proprietor
    (4) that a split-dollar life insurance plan covers the life of an employee and that the employer and employee share the costs of premiums for the employee's individual policy

55. Stella Paisis was the policyowner-insured of a life insurance policy that named her husband, Alec, as the primary beneficiary, and her sisters, Claudia and Aida, as the contingent beneficiaries. The policy included a survivorship clause, stating that a beneficiary could receive policy benefits only if the beneficiary survived the insured by at least 30 days. Stella and Alec were in an automobile accident in which Stella was killed instantly. Alec died from his injuries three weeks later. Aida predeceased Stella and Alec. Claudia was still living 31 days after Stella and Alec's accident. In this situation, the insurer most likely paid the policy proceeds to

    (1) Stella's estate, because Alec did not live long enough to satisfy the requirement in the survivorship clause
    (2) Alec's estate, because he survived Stella by three weeks
    (3) Claudia, because she is the only beneficiary to survive Stella by at least 30 days
    (4) Claudia and to Aida's estate, in equal shares, because they were contingent beneficiaries

56. As an aid in understanding the customer experience, some insurers create a visual representation of customer interactions with a company. This visual representation helps insurers improve the customer experience by identifying and addressing common pain points for a customer. By definition, this visual representation is known as a

    (1) touchpoint
    (2) data warehouse
    (3) dashboard
    (4) customer journey map

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57. Under an assumption reinsurance arrangement, the Emerald Reinsurance Company acquired a block of individual whole life insurance policies worth $200 million from the Gemstone Insurance Company. With regard to this assumption reinsurance arrangement, it is correct to say that

    (1) Emerald Re assumed the entire legal obligation formerly borne by Gemstone for this block of policies
    (2) the reinsurance agreement between Emerald Re and Gemstone most likely is intended to be a temporary arrangement
    (3) the reinsurance arrangement was not disclosed to the policyowners of the affected life insurance policies
    (4) Emerald Re and Gemstone are the only parties to the agreement; the policyowners of the affected policies are not parties to the reinsurance transaction

58. The following statements are about supplemental benefits that can be added to a basic life insurance contract. Select the answer choice containing the correct statement.

    (1) When underwriting a waiver of premium for disability (WP) benefit, an underwriter considers financial factors, but rarely considers an insured's medical or personal factors.
    (2) Age is not an important factor in underwriting accidental death benefit (ADB) coverage because insurers rarely place age limitations on ADB riders.
    (3) After a policy with a family benefit is issued, both adopted children and foster children are covered by the family benefit.
    (4) Most insurers issue a critical illness benefit only to insureds who are under the age of 70 and who have no serious health problems.

59. The Calypso Insurance Company denied benefits on a $300,000 life insurance policy and returned the premiums paid. The beneficiary filed a lawsuit, and a court found that Calypso improperly denied the claim. The court required Calypso to pay the beneficiary the $300,000 face amount, plus $5,000 in interest. These monetary awards were intended to reimburse the injured party for monetary losses that resulted from Calypso's improper conduct. With regard to compensatory damages and punitive damages, it is correct to say that the court awarded

    (1) no compensatory damages, and $305,000 in punitive damages
    (2) a total of $5,000 in compensatory damages and $300,000 in punitive damages
    (3) a total of $300,000 in compensatory damages and $5,000 in punitive damages
    (4) a total of $305,000 in compensatory damages, but no punitive damages

60. One quantitative measure of customer service performance is the percentage of inbound customer contacts that are successfully completed at the initial point of contact—that is, without being transferred and without the need for follow-up work. This quantitative measurement is known as

    (1) service level
    (2) error rate
    (3) first contact resolution
    (4) processes completed

END OF EXAMINATION

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Answers to Sample Exam

1. c. 7, p. 11 1
2. c. 8, p. 27 3
3. c. 7, p. 5 1
4. c. 5, p. 12 4
5. c. 3, pp. 20-21 3
6. c. 8, pp. 8, 9 2
7. c. 1, p. 9 2
8. c. 9, p. 8 2
9. c. 11, pp. 12-13 3
10. c. 1, p. 6 3
11. c. 5, pp. 18-19 2
12. c. 5, pp. 21-22 1
13. c. 3, pp. 19-20 1
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21. c. 3, p. 4 2
22. c. 2, pp. 7-8 1
23. c. 10, pp. 25-27 1
24. c. 2, pp. 5-6; c. 11, pp. 14,15 1
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26. c. 2, p. 19 4
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29. c. 4, pp. 8, 10, 11, 19 1
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58. c. 6, pp. 21, 22, 23, 24, 26 4
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60. c. 10, p. 33 3

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